

Cupid (CUPID)

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Call: Aug 2022

CUPD LIMITE,D

Manufacturers and Suppliers of Male & Female Condoms

Date: - 16th August, 2022

To,

Department of Corporate Services,

BSE LIMITED,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai - 400 001

SCRIP CODE: 530843The National Stock Exchange of India Ltd.

Exchange Plaza, Sth Floor, Bandra-Kurla

Complex, Bandra (East),

Mumbai - 400051

Fax No. -6641 8125 | 26

SCRIP CODE: CUPID

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ODear Sir / Madam,

With reference to captioned subject, we hereby enclose the transcript of Q1 & FY 2023 conference call which was hosted by the company on 10th August, 2022 at 5.00 p.m.

This is for your records.

Kindly acknowledge the receipt.

Thanking You.

For CUPID LIMITED

Saurabh V. Karmase

Company Secretary and Compliance Officer

ECSIN: EA041 701A000083921

CIN No.: 125,I93MH1993P1C070846e. #k

Factory & Registered Office:

rer:+e, zsst 230zrt;T;#ii;li#iii?b'#; i'H?i'Tn6l;13i'Jilfffi:HI',ilill,'l,w.cupidrimited.com

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"CupidLimitedQ1FY2023

Earnings Conference Call "

August10,2022

MANAGEMENT :MR.OMGARG-CHAIRMAN &MANAGING DIRECTOR -

CUPIDLIMITED

MR.DURGESH GARG-CHIEFOPERATING OFFICER-

CUPIDLIMITED

MR.BINAYSARDA-ERNST&YOUNG

CupidLimited

August10, 2022

Page2of9Moderator: Ladiesand gentlemen , gooddayandwelcome to theCupid Limited Q1FY2023Earnings

Conference Call.As a reminder ,all participant lines will be in the listen -only mode and

therewill be an opportunity for you to ask questions afterthepresentationconcludes.

Should you need assistance during the conference call, please signal theoperator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. Inowhandthe conference over to Mr.Binay Sarda from Ernst&Young.Thank you and over to you Sir.

Binay Sarda : Thanks Lizan n.Goodevening to all of you and thanks for joining this Q1 FY2023earnings

call forCupid Limited .Wehave mailed the results and press release to you .Ihope you

have received the same and we ha ve also uploaded this on our website and the stock

exchange s.Todiscuss the results and address the queries of the investors ,we have with us

Mr.Om Garg,Chairman andManaging Director of the company along with him we have

Mr.Durgesh Garg, Chief OperatingOfficer.Mr.Gargwill give a brief overview of the

quarter gone past and then we will open the floor to Q&Asession.Iwould like to remind

you that everything said on this call that reflects any outlook for the future or which can be

construed as forw ard-looking statements must be viewed in conjunction with the

uncertainties and the risks that we face .Theseuncertainties and risks are included ,but not

limited to what we have mentioned in the prospectus filed with SEBIand subsequent annual

report,which you can find on the website .Withthat said let me hand over the call over to

Mr. Garg.Overto youSir!

Om Garg : ThankyouBinay.Goodevening, ladies and gentlemen .Onbehalf of Cupid Limited ,I

would like to welcome you all at the first qua rterFY2023earnings conference call for

Cupid Limited today.Ihope that by now ,you had a chance to go through the press release

and the statement we had issued last night after the directors meeting .Someof the

highlights during the quarter were that t he sale of female condom wasless due to delayed

arrival of lab results and also due to the non -availability of containers during the quarter . Also,we had some external challenges as well ,including the supply line issues as well as the depreciating SouthAfricanRand,which impacted their frequency of orders . Inany case,we have been doing quite well considering we have a strong order book at Rs.187Croresas ofJuly1,2022and also,our new orders have been coming in regularly , most of them repeat ord ers fromUNFPAand other private customers .Iwould like to point out two items .Numberone is that during the quarter after a three months pregnancy study done inSouth Africa ,we have been able to apply to USFDAfor marketing of our female CupidLimited

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Page3of9condoms in theUS.Weare hoping

to get this recommendation in about six to nine months , and if that happens ,we would be looking at additional revenue in FY2024,which could be a big boost to both our top and bottom line asCupidwill be only the second female company to market its product in the US,whichas you are aware is a huge market and also profitable at that .

Thesecond point Iwould like to mention is that during the quarter ,we have been able to obtainsix manufacturing licenses for ourInVitoDiagnostics kits from theDrug Controller ofIndia,whichhas permitted us to start our marketing activities not only in India,but also for export markets .Inaddition,we are expecting manufacturing licenses forHIV,malaria in the next 15 to 20 days .So,that would make ita total of 17 products,which we would be actively marketing .Nowwith these initial remarks ,Iwould like to open the conference for Q&Asession.Thankyou.

Moderator : Thankyou.Ladiesand gentlemen ,we will now begin with the question and answe r session. Thefirst question is fromthe line of Jyoti Basu ,anIndividual Investor .Pleasego ahead.

Jyoti Basu : Thankyou foracceptingmyquestions .Congratulations forhaving a good set of numbers , andI'vebeen constantly tracking ,getting some good order boo k in the pipeline .So,only two questions I am having .Whatkindsof margin we shallexpect from USFDAand ifyou are going for production means,we have to go for CapEx,do you have any plans?

Om Garg : Sorry,could you please repeat the question .Yourvoice was not clear .

Jyoti Basu : Okay.Whatkind of margin shallweexpect from USFDA,anyview on that or if weare having any order s,like that means ,we have to go for additional CapExor do we have any backup plans? That is all my question.

Om Garg: In US,we are planning to distr ibute our products through over -the-countersales as well as through prescription businesses and the market margins would be better than 50 %on the sale,and right now ,we donot have a precise estimate,but we are lookin g at a minimum of \$2 to \$3 million business in the first year.

Jyoti Basu : Thanks. That is all from my side .I will join the question queue.Thanks.

Moderator : Thankyou.Thenext question is fromthe line of Saurabh Shroff fromQRC Investment Advisors LLP.Pleasego ahead.

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Page4of9Saurabh Shroff : Goodafternoon Sir.Ijust wanted to clarify your initial comments on the female condom products,why the sales were lower this quarter and h owyou see this ramping up as the year progresses ?

Om Garg : Iamsorry,could you pleaserepeat the question ?

Saurabh Shroff : Sure.Ijust wanted to get clarity on your initial comments on the sales of female condoms for this quarter ,you said that they were impacted because of a couple of reasons like the depreciation of the South AfricanRandand some approval that you mentioned .So,if you could maybe just help us understand ,how you see this playing out over the next three ,four quarters and obviously the USFDAapproval you clarified that you expect in six to nine months,so can yo uchartthat out for us please ?

Om Garg : Yes, asImentioned ,the first quarter female condomsales were slow;however,we are planning to catch up in the next three quarters for female condomsale.The USsales of course,we have to wait until we get the approval fromUSFDA,which may take six to nine months or even more depending on their workload .

Saurabh Shroff : Okay,so what is your currentexpectation for the female condoms for this year and next year?

Om Garg : ForthisFY2023,we are looking at a min imum sale ofRs.30Croresfor female condoms and forFY2024,we are still in the process of computing the number s.Weare expecting of course,it will be higher than Rs.30Crores,but we do not have any precise estimate right now.

Saurabh Shroff : OkayandSir,howis the lubricant business going and what is your outlook on that ?

Om Garg : Sorry.

Saurabh Shroff : Anupdate on the lubricant business ,the jelly business ?

Om Garg : Yes, jellybusiness,we have improved the performance an

d our margin is 40 %to 45%.We
are expectingRs.10Crores toRs.15Crores jelly business this year ,FY2023.
Saurabh Shroff : Okay.Thankyou very much sir.

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Page5of9Moderator : Thankyou.Thenext question is fromthe line of Panjul Agrawal fromGreen Portfolio .
Pleasego ahead.

Panjul Agrawal : Hello sir.Iwanted to ask about our IVDfacilities,the commercial activity have begun .I
wanted to ask how much revenue can we expect from this business ?

Om Garg : Okay.Sincewe have just initiated the commercial activities in July,we donot have any
precise estimate,but our expectation is that minimum sales would be Rs.5Croresin
FY2023.Ofcourse,we would be trying even to get the export business started as well ,but
we donot have a precise number right now .

Panjul Agrawal : Okay.Sir,where does the order book stand for this ?Haveyoubuiltthe order book ?

Om Garg : Theorder book as on July1st2022wasRs.187Croresand it is improving all the time .We
have been getting orders worth about Rs.8Croresin the last quarter as well and also,some
moretendersare likely to be published where we expect to participate .Oneis from
Government ofIndia;Ministry ofHealthand the other possible tender could be for female
condoms from Government ofBrazil.So,we are hoping that the order book will grow as
we move forward into the year .

Panjul Agrawal : Yes sir.Iwas asking about the order book for IVDfacilities,because we have just begun
the commercial activity .So,where does the order book stand for that business ?

Om Garg : Rightnow,the order book is only in a few lakhs , wejust started to get some orders .So,we
are building up the order book and it would be at least three more months before we can
come up with a significant number.

Panjul Agrawal : Okay.ThankyouSir.

Moderator : Thankyou.Thenext question is fromthe line of Anandbir Singh fromAFS.Pleasego
ahead.

Anandbir Singh : Ijust wanted to know if youare aware of any institution sreducing their shareholding ,in
particular ,theGreenmate Corporation ,South Korea .Theystill have a significant holding,I
donot see their name on the shareholding pattern anymore and also ,any update on an
acquisition or a sale which we discussed in the last quarter?

Om Garg : Couldyou please repeat the first part of your question ?

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Page6of9Anandbir Singh : Thefirst partwas,there was a company called GreenmateCorporation ,South Korea ,which
was holding a decent ,Ithink2.5%to3%shareholding in the company and that name does
not seem to be appearing in the shareholding pattern anymore.Isthere any update on an exit
from them or is it just a different way of reporting ?

Om Garg : No.Infact,what has happened is that they were one of the original investors in Cupid,but
over the years ,about 10 years ago ,they went belly-upand they had declared bankruptcy .
So,according to the SEBIrules,after a lapseof eight years ,we have surrendered those
shares into a government education fund .So,that is the reason that they no longer are listed
on our shareholders dossier.

Anandbir Singh : Lasttime,you said, you are open to a cquisitions orbeingacquired and you were in talks
with someone for the latter ,any updates on that?

Om Garg : No. There are discussions going on with one potential buyer ,but there is no conclusion yet.

Anandbir Singh : Okay. And is it the difference in valuation that is holding that back?

Om Garg : I am sorry .Pleasesay it again.

Anandbir Singh : So, thereason that is not progressing is only difference in opinion of valuation or is there
something elsethat is holding that back?

Om Garg : No,basically they are still evaluating the future prospects of the company and I am sure part
of that is the evaluation considerations as well ,but we do not know yet ,because they have
not come back to us with their final decision.

Anandbir Singh : Thank you and all the best.

Moderator: Thank you. The next question is from the line of Jyoti Basu ,an Individual Investor. Please
go ahead.

Jyoti Basu: Hello

Sir, actually,do you have any expansion plans and also additional CapExfor the
coming quarter or for this financial year?

Om Garg: Right now ,we do not have any expansion plansfor this year and next. The main reason is
that last year ,we had expanded our condom production capacity from 400 million pieces
per year to 560 million pieces per year ,and also,last year and this year,we have entered

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Page7of9into this newbusiness vertical of IVD kits. Socurrently,we do not have any immediate
plans for further capital expenditures either this year or next year as of now.

Jyoti Basu: Sir, you are talking about for IVD also. Aml right?

Om Garg : No. I am talking about expansion within Cupid Limited in general, total Cupid.

Jyoti Basu: Okay Sir. What is the capacity utilization for the male condom and female condom?

Om Garg : It was 88% this past quarter for male condoms and 82% for female condoms, and primarily because the production was much less. So, 88% for male condoms.

Jyoti Basu: Okay Sir. That is all from my side. Thank you very much.

Moderator: Thank you. The next question is from the line of Vijay Kumar, an Individual Investor. Please go ahead.

Vijay Kumar: Sir, last time you mentioned that you are seeking some professional opinion about buyback; number one, and number two, what is the cash position of the company now?

Om Garg : Okay. We did have discussions with a consultant on buy back and the conclusion was that this year, we are not going to go for the buyback and the reason being that our working capital requirements both for the condom business as well as for the IVD business may be as high as Rs. 30 Crores to Rs. 40 Crores; however, we will take the necessary action at the appropriate time and our cash position including the reserves in the bank and other investment stands at Rs. 84 Crores as of July 1, 2022. So, we have improved our cash position as compared to last quarter and certainly as compared to a year ago, so Rs. 84 Crores right now.

Vijay Kumar: Thank you.

Moderator: Thank you. The next question is from the line of Saurabh Shroff from QRC Investment Advisors LLP. Please go ahead.

Saurabh Shroff: Thank you for taking my follow-up. Sir, can you help us understand what our marketing strategy and plan is for the IVD products?

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Page 8 of 9 Om Garg : Okay. We are working on two fronts for IVD marketing. For export business, we are contacting major Department of Health in big African countries like South Africa, Kenya, Mozambique, Nigeria, Democratic Republic of Congo, and we already have contacts in these countries. So, we have circulated all the brochures and samples of our products to these countries and we are learning about their requirements in the coming six to nine months. In terms of domestic market, we have been in touch with distributors in several states and also, recently we attended a technical conference in Chennai dealing with the IVD diagnostics business where we were contacted by 190 distributors throughout the country and also from several doctors, as well as the clinical labs. So, again, this is our first initial step in starting our commercial activity and we will be visiting some of them and we have invited some potential customers to visit our facilities. Also, we are in touch with one party from Singapore and I think, I mentioned in the last call they have five patented products and they would like to outsource the manufacturing of these five diagnostics products and they have contacted us and they are planning to visit our facilities in Nasik on August 17, 2022. In addition, we have a serious enquiry from Oman where one of their largest pharmaceutical companies would like to be a lead distributor for all our products and they are also planning to visit Nasik later this month. So, our marketing efforts are at initial stages, but we hope to pick it up quite rapidly in the next three to six months.

Saurabh Shroff: And Sir in the domestic market, this will be marketed under the same

brand or will you be

coming up with another brand and are you also thinking of licensing this out for some other brands or basically just doing manufacturing for them and others can market this product, any thought on that?

Om Garg : No, our products would be marketed in our own brands. For each product, we have a separate brand name and as for the outsourcing part, we would be doing it in the customer's brand.

Saurabh Shroff: Okay. So, we are open to outsourcing as well, even in the domestic market?

Om Garg : Yes, definitely, we are open to offer our facilities to any prospective buyer.

Saurabh Shroff: Okay and what is our capacity on the IVD product?

Om Garg : IVD products, in terms of rupees, we can do about Rs. 100 Crores worth of production in the first year.

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Page 9 of 9 Saurabh Shroff: Okay Sir. Thank you.

Moderator: Thank you. As there are no further questions, I now hand the conference over to the management for their closing comments.

Om Garg : Thank you Binay and thank you every one. I would like to thank all the participants for attending this earnings conference call today and also, I would like to thank all the other shareholders who have stood by Cupid Limited over the years through good and bad times.

Further, I like to thank our customers, many of whom have given us repeat orders again over the years and last but not least, I would like to thank all the employees of Cupid

Limited who have worked diligently throughout the year to make Cupid ,a profitable company and in the end ,I would like to mention that we are expecting a very good FY2023 with our current order book and the additional orders still coming in ,we are expecting a turnover of about Rs.145 Crores and a profit after tax of about Rs.20 Crores to Rs.25 Crores for the entire FY2023 .So,we are hoping for a big improvement in our performance going forward as compared to a year ago. Thank you again all of you for attending this conference.

Moderator: Thank you. Ladies and gentlemen, on behalf of Cupid Limited that concludes this conference call.We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2022

CUPD LIMITE,D

Manufacturers and Suppliers of Male & Female Condoms

Date: - 15th November,2022

To,

Department of Corporate Services,

BSE LIMITED,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai - 400 001

SCRIP CODE: 530843The National Stock Exchange of India Ltd

Exchange Plaza, Sth Floor, Bandra-Kurla

Complex, Bandra (East),

Mumbai - 400051

Fax No. - 6641 8125 I 26

SCRIP CODE: CUPID

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oSubject: - Conference call Transcript

Dear Sir / Madam,

With reference to captioned subject, we hereby enclose the transcript of Q2FY2023 conference call which was hosted by the company on 15th November,2022 at 5.00 p.m.

This is for your records.

Kindly acknowledge the receipt.

Thanking You.

FoT CUPID LIMITED

Saurabh V. Karmase

Company Secretary and Compliance Officer

ECSIN: EA041 701 A000083921

CIN No.: L25193lt HI993P1C070E46

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Q2FY'23Earnings Conference Call "

November 15, 2022

MANAGEMENT :MR.OMPRAKASH GARG –CHAIRMAN AND

MANAGING DIRECTOR –CUPIDLIMITED

MR.DURGESHGARG-CHIEFOPERATING OFFICER –

CUPIDLIMITED

CupidLimited

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Moderator: Ladies and gentlemen, good day, and welcome to the Cupid Limited Q2 FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Binay Sarda. Thank you, and over to you.

Binay Sarda : Thank you and thanks for joining the Q2 FY '23 earnings call for Cupid Limited. We have mailed the results and press release to you. I hope you have received the same and we have also uploaded this on our website and the stock exchange. To discuss the results and address the queries of investors, we have with us Mr. Om Garg, Chairman and Managing Director of the company.

Along with him, we have Mr. Durgesh Garg , Chief Operating Officer. Mr. Garg, will give a brief overview of the quarter 1 part and then we'll open the floor over to Q&A session.

I would like to remind you that everything said on this call that reflects any outlook for the future or which can be construed as a forward-looking statement must be viewed in conjunction with the uncertainties and the risks that we face. These uncertainties and risks are included, but not limited to what we have mentioned in the prospectus filed with SEBI and subsequent annual reports, which you can find on the website.

With that said, let me hand over the call over to Mr. Garg. Over to you, sir.

Ompakash Garg : Thank you, Binay. Good afternoon, ladies and gentlemen. On the half of Cupid Limited, I would like to welcome you all to the second quarter FY '23 earnings conference call for Cupid Limited today. And we have already forwarded the Board meeting minutes and the results last night to all of you. So we hope you had a chance to look at it.

Let me briefly describe some of the salient features from the results. To start with, I'm very pleased to report that we had a very good second quarter and our topline, the revenue had increased by about 38% as compared to the second quarter a year ago. And the net profit has also shown tremendous improvement, it's up 84% as compared to the similar second quarter last year.

Also, the EBITDA margin has improved to 26% during this quarter as compared to a 16% EBITDA margin in the quarter a year ago. As a result of increased profitability, the Board of Directors has recommended and approved interim dividend of INR 2 per share or 20% which is double the amount of INR 1 per share, which was declared a year ago.

In terms of the business, there is a stronger demand for our products mainly male condom, female condom and lubricants and the demand is coming from all over the world, especially from the lower-and middle-income countries, mostly they've been from Africa. Along with that, the international donor funding for the procurement of condoms is also improving through the World Bank and through the global funds. Also in terms of the order book going forward, we

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have order worth INR 169 crores as on October 2022, and we are expecting more repeat orders in the coming months.

Now some of the other highlights are, number one, we have attained our target of 97% of our sales in exports. Our target has been 95% of sales should be in export and as you are aware, the margins are much better in the export sales as compared to the domestic sales. And in addition, we get an export incentive from the Government of India between 3% and 4% additional revenue for us.

The other highlight is that we have been successful in obtaining the ISO 13485 Certificate for our IVD product, this allows us to export our products to different countries. The third important observation is that the trend in the input cost and the logistic costs has been stabilized during the

quarter and this should help in improving our profitability going forward during the year.

We expect that the demand and the dispatches and sales will continue to improve based on the existing strong order book, as well as on the expected new orders and we are paying full attention

in terms of how to grow the company both in terms of the topline as well as in terms of the profitability.

We are targeting at least a similar pattern for both top and bottom line in the first two quarters of, say, 75 crore in the revenue and the profit of 13 crore net profit after tax. So, we plan to at least meet this standard in the next two quarters, so that we are looking at for full year FY '23 at least 150 crore in the topline and about INR 25 crores or INR 26 crores net profit in the year.

Further, we are also looking at the potential order book in the FY '24 and '25 and we see a similar trend in terms of both the topline growth as well as in the profit after-tax number. So with these remarks, now I would like to open the conference for Q&A session. Thank you.

Moderator: First question is from the line of Pushkar Jain from Sequent Investments.

Pushkar Jain: Congrats on the quarter. My question was regarding the input cost. So how much percentage of input cost collection we have seen in Q2? And also, can you quantify the benefit that we have derived because of rupee depreciation?

Omprakash Garg: Sorry, could you please repeat your question?

Moderator: Mr. Jain, please use the handset mode.

Pushkar Jain: Yes. First of all, congrats on the good set of numbers. Can you quantify by how many percentage the raw material prices have corrected at least the main raw materials? And how much benefit we have derived because of rupee depreciation that is in sales, what is the benefit that we got in this quarter because of rupee depreciation?

Omprakash Garg: Well, we got about 7% to 8% improvement in terms of the lower input costs and in the logistics costs. Worldwide trends seem to have stabilized. And in one particular commodity, for example,

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the silicone oil, we have noted a reduction of over 20% in our input costs. And so we are excited to benefit from these stable and lowering input cost going forward.

Pushkar Jain: And apart from that, how much again --did we gain because of rupee depreciation in our sales? Can you quantify the gain that we got because of rupee depreciation? As all our sales are in dollars, what is the amount of gain that you got because the rupee depreciated 79 to 83.

Omprakash Garg: Yes. We have certainly obtained more rupees as all our invoices export invoices are in US dollars. So I don't have the exact number, but it's 5% to 6% additional revenue due to stronger dollar or depreciating rupee.

Pushkar Jain: Is it 6%?

Omprakash Garg: Yes, between higher than 6% in total.

Pushkar Jain: Okay, sir. And on the sustainable EBITDA margin going forward for the last 3, 4 quarters, our

margin has been in the range of 20% to 25%. So with the input cost stabilizing and dollar also been strong, what EBITDA margin do we think we can continue in the quarters ahead?

Omprakash Garg: Yes, we expect the EBITDA margin to continue at least at 26%. And this is mainly because of higher sales of Female condoms and lubricant jelly, which have a higher margin of 40% to 45%. So depending on the sales of these 2 products, we expect to continue a higher EBITDA margin in the next 2 quarters as well.

Pushkar Jain: Congratulations for getting the ISO certificate on IVD products. How much revenue do you expect from these products in the coming few quarters?

Omprakash Garg: In terms of the IVD product, as I had reported in the last conference call, we have obtained all the licenses from the drug controller of India. And during this quarter, we have contacted over 90 distributors from all over India for our products. And also, we have contacted 30 potential customers for exports of our products. We have 11 products already

registered and additional

five products are in the pipeline. So we have just started the initial marketing. We have sent our sample to a select group of distributors in India and in foreign countries, and we have started to get some positive feedback. However, we believe that it will take at least 3-4 months before we start to see some commercial sales most likely in the fourth quarter of FY '23.

Pushkar Jain: Okay, sir. And what will be the margins on these products, IVD product? Like will it be margin accretive?

Omprakash Garg: Yes. It's a 15% to 20% margin on an average within Indian domestic sales and the margin goes up between 30% to 50% on the export sales. So you see a much higher margin in the export sales and our initial target for the first year is about INR 5 crores with a profit potential of 1.5 crores from all the IVD sales.

Moderator: We have the next question from the line of Jyoti Basu, an Investor.

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Jyoti Basu: Actually, thank you all for opportunity. In the last call, we have mentioned that we had a visit from a pharma company for IVD because in the month of July and in August. Any such thing that has happened or any development in this model let us test you want to move?

Omprakash Garg: And sorry, could you please repeat your question?

Jyoti Basu: Yes, actually, in the last conference call, you have mentioned that from Singapore-based pharma company is about to visit our facility regarding the IVD devices. Any such thing happened or any other developments that happened?

Omprakash Garg: Yes. The Singapore party representative, they visited our facilities in Nashik and they like these facilities very much. And they have indicated their interest to continue the collaboration. We are in the process of drafting an agreement. And we are quite hopeful that in the next 3 months, we should have some positive results from this collaboration.

Jyoti Basu: Yes. Okay. That's a great to hear. And just 1 more thing I want to add. In the initial presentation you have mentioned that we got an approval on US FDA. Is it a new one? Or we already got the certificate from US FDA?

Omprakash Garg: Could you please repeat it again?

Jyoti Basu: No issues on that. In the presentation, you mentioned that the US FDA certification, you have mentioned in that -- is it the new one we got in this quarter or already we had with us?

Omprakash Garg: US FDA?

Jyoti Basu: Yes. In a presentation you mentioned that US FDA certified, that's what I'm asking. Is it the new one we got or it's already existing with us?

Omprakash Garg: No. Are you asking about the Cupid female condoms in USA?

Jyoti Basu: No. You have mentioned several certification, but we have Drug Control of India and some other things. I think nine to 10 aggregation we have mentioned, in that one of the certification is that US FDA, is it the new one which we got in this quarter, or already we are holding that one?

Omprakash Garg: No. We had a marketing 510k certification for male condom, already with the US FDA. However, for female condom registration in US FDA, we are in the process of submitting our final application next month and we expect to hear back from US FDA during the next three months to six months. Our initial target from the, I'm sorry?

Jyoti Basu: Sorry, please go ahead. Go ahead, please.

Omprakash Garg: No, I was just going to say we are taking some initial steps about marketing of this new product in US. Cupid would be the second manufacturer to supply this product and our initial target is

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to obtain a sale of about USD 0.5 million and a net profit of at least INR 4 crores after taking care of all the marketing and distribution charges.

Jyoti Basu: And final thing is, what's our medium-term view on IVD sales and profit? Are Medium-term means three to four years like that?

Omprakash Garg: Within next three years to four years, we are projecting a sale of between INR 150 crores to INR

200 crores, a margin of at

least 20% from combined domestic and the export market. So we see it as a very promising area of growth for Cupid.

Moderator: We have the next question from the line of Yogansh Jeswani from Mittal Analytics.

Yogansh Jeswani: You mentioned in your press release, the order book is INR 169 crores. Can you also provide a breakup of that within the three segments, the male, female and the IVD segment?

Omprakash Garg: Yes. It's about 61% is for male condom, 36% is for female condom and the balance 3 % is from lubricants. That will bring in INR 169 crores worth of order book.

Yogansh Jeswani: And nothing so far for the IVD segment, right?

Omprakash Garg: For IVD, we don't have any confirmed orders as yet with us, like I mentioned earlier, we are still in the process of establishing our distributors and our export customers. So it will take us I would say, until end of December to start to get some confirmed orders for IVD products.

Yogansh Jeswani: And sir, we were expecting large orders for our female segment, I think, from Brazil. So any update on that?

Omprakash Garg: Yes. The update is that Brazil just had finished their presidential election two weeks ago. And now the latest update is that the government of Brazil is in the process of approving their new budget, and we are expecting a tender for female condom supply and Cupid would be actively participating in that.

Yogansh Jeswani: And sir, any expectations with regards to the size of this tender? How much are we expecting the value to be?

Omprakash Garg: We are expecting about 50 million pieces at a rate of about \$0.60 per piece. So it could be quite huge order, of course, depending on the new Brazilian budget approval.

Yogansh Jeswani: And sir, on your US approval, like you mentioned that you will be filing your reply to them by next month. So in terms of the whole process, at what stage are we now? And do you think post this filing we are confident enough to get the approval in next, say, six months and by FY '24, we hope to start our US business?

Omprakash Garg: Yes, we have completed the three-year clinical study for the contraceptive efficacy study which is one of the major requirements of USFDA. And now we are collecting all the other information Cupid Limited

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which USFDA requires. Now we are planning to submit all that before December end. And based on our general feedback, USFDA could take anywhere from three months to six months to respond to that. And we may have to go through one more cycle of discussion with them. But we are hoping that by the end of June 2023, we should have the permission to market this product portfolio.

Yogansh Jeswani: And sir, is it possible for you to share the efficacy data that we have got so far versus a product that is already running in US, how did we perform in terms of efficacy versus established products there?

Omprakash Garg: Yes, we would share that. Right now, in the next couple of weeks, we are going to submit all the data to US FDA and they usually make this data available publicly. So we would be glad to share that. The performance of Cupid female condoms is at least similar, if not a little better than the currently marketed product, which would be our main competition. So quality-wise, we have been, I would say, quite successful.

Moderator: We have the next question from the line of Onkar G from Shree Investments.

Onkar G: Yes. My question was regarding IVD sales. You mentioned around INR 150 crores to INR 200 crores sales in next three years to four years. But right now, you have no visibility seeing zero sales. So what gives you the visibility to achieve INR 150 crores to INR 200 crores of sales? There must be some plan to achieve this.

Omprakash Garg: Yes. The major expectation is that there are large vendors for five products, including dengue, malaria, HIV, syphilis and COVID and some of these tenders are in millions of dollars. So the demand is huge and of course, there is a competition.

And our prices are quite competitive. So

once we start to get actively involved in submitting our bids for some of these tenders, we project that we could achieve its target of INR 150 crores to INR 200 crores sales in next two years to three years, maybe even more.

Onkar G: But right now, any people or like the companies which you intend to supply to are keeping in touch with you or contacting you for the future sale or something like that?

Omprakash Garg: Of our foreign potential customers, they have contacted us, they have requested that we mail them samples of our products for quality, and they have asked for our price list actually, there were two medical exhibitions one in Chennai and one in Delhi. And we had a booth with a lot of information on display. And that is where we got several of the potential customer's contact. They visited our booth and that is how we started the communications with the new export customers. But also we have a very active list of overseas customers who have been buying male and female condom from us during the last 20 or so years. So they are also interested to

participate in their respective government tender. I think we should have a very good network, in terms of the achieving the ability to submit bids for some of these large tenders.

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Onkar G: The next question is on the cash balance, which you have. I guess you have around INR 65 crores to INR 70 crores of cash balance. So apart from the dividends which you are giving how do you plan to utilize that? I mean do you have any capex plans in your mind, or was some going on, but nothing has fructified. For the last two years, three years, you haven't even increased the dividend payout also, but your cash balance is increasing?

Omprakash Garg: First of all, we have about INR 94 crores worth of total cash with us. And we have doubled the amount of dividend as I mentioned in the beginning of my presentation, so the dividend has already been doubled from INR 1 per share to INR 2 per share as in interim dividend. And our projection is that for the entire FY '23, we would at least meet the last year's target of INR 4.5 per share dividend and maybe even up to INR 5 per share. Now in terms of the capital expenditure plan, we are looking at a property and where we could be looking at either expanding our condom manufacturing capacities further or even expanding our IVD business. So other than that, we are in the process of improving our return on our savings and on our investments. And the important thing is that we are always looking for additional new opportunity to expand Cupid. And as you recall, we had introduced a female condom in 2012, we had been extended and introduced the lubricant jelly in 2016. And now the IVD in 2022. So we are always looking for new business opportunities and the savings we have achieved would come in quite handy. One area, for example, we are looking at the sexual, female sexual wellness related new products. We have to do more research, but that will be the next new vertical for Cupid, which will be formed, which will be tested after male, female condoms, lubricants and IVD. So I hope that answers your question.

Onkar G: So another question was regarding, actually I joined the call a bit late, so any update again on the long-pending issue of the CEO?

Omprakash Garg : Okay. We have a... internally we have come up with a very aggressive three-year plan and things are going pretty good very well and unless we get an exceptional candidate which could further take Cupid to the next level of achievement we are going to concentrate to grow the company and improve our profitability with the existing management.

Onkar G: Are the three-year plans which you mentioned, can you elaborate more on that? I mean, exactly what is the three-year plan?

Omprakash Garg : Well, the three-year plan, which is FY '23, FY '24 and '25 we are expecting a 10% to 15% increase in the --both the top line and bottom

line. So like I mentioned, for FY '23, as of March

31st '23, we are expecting the top line between INR 155 crores to INR 160 crores as compared to last year, where we had only INR 132 crores. And in terms of profit, last year's profit was INR 17 crores and now in the FY'23, we are targeting a net profit of at least INR 25 crores, INR 26 crores.

And then for the following three years, we are expecting at least a 10% improvement. And we have not fully included the impact of female condom sales in US will have plus increased sales

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in IVD. Now if we get a much better orders from these two new segments our profit top line and bottom line could be 30 % to 40% starting from FY24 and beyond.

Onkar G: Okay. There was a rumour going on and participants in earlier calls have also are that--is there any possibility of Cupid being acquired by some other companies? I mean, what's your view on that? Is there any discussion regarding the

Omprakash Garg : So some people have approached us that they are interested to look at Cupid and of course, will depend on the level of their interest and the valuation they put on Cupid, everything turns out to be satisfactory for us, we would certainly consider some of these offers. If not, we are happy to run the business the way we are doing and improve on the growth and the possible profitability of the business. Like I mentioned earlier, we are looking at least next three years and then beyond.

Onkar G: Okay. But about these discussions going on with some potential buyers, where exactly did the discussion stand right now? I mean, at what stage is the company?

Omprakash Garg : Well, there are two outfits, two companies who are evaluating the data, existing data and our future plans. They have visited our facilities and they have met our people. So it may be about four to six weeks, I think, before they make up their mind and come up with their proposal.

Moderator: I would like to hand it over to the management for closing comments.

Omprakash Garg : Hello, everyone again. We would like to thank all the shareholders who have decided to participate in this earnings conference call and have given their valuable time, have made valuable comments and contributions. Because some of you have been with Cupid over 20 years,

we have always valued your suggestions and your commitments and your interest and your confidence in the management of the company through thick and thin years.

So we would also like to thank all of our vendors and most of all, our customers who have been with us, many of them for over 15 years, we have been getting the repeat orders. We have now supplied our products to over 113 countries. So almost we are recovering 80% of all the worldwide 190 countries. So, and most of all, I would like to thank our employees who have worked diligently and dedicatedly for the growth of Cupid.

And with that in mind, for the first time, the board of directors have approved an employee stock option plan for 27 of our employees. We have done this for the first time in the 25-year history of Cupid. We have decided to allocate shares, a total number of shares of 209,500 to these 27 employees. So we appreciate their contribution very much and we hope to achieve more growth and profitability going forward. So we'd like to thank you all again and thank you.

Moderator: On behalf of Cupid Limited that concludes the conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2023

Manufacturers and Suppliers of Male & Female Condoms

Date: - 3'd February, 2023

To,

Department of Corporate Services,

BSE LIMITED,

Phiroze Jeejeebhoy Towers,

Dalal Street, ,

Mumbai - 400 001

SCRIP CODE: 530843 The National Stock Exchange of India Ltd.

Exchange Plaza, 5th Floor, Bandra-Kurla

Complex, Bandra (East),

Mumbai - 400051

Fax No. - 6641 8125 I 26

SCRIP CODE: CUPID

II

Subject: - Q3FY2023 Conference call Transcript

Dear Sir / Madam,

With reference to captioned subject, we hereby enclose the transcript of Q3FY2023 conference call which was hosted by the company on 31st January, 2023 at 4.00 p.M.

This is for your records.

Kindly acknowledge the receipt.

Thanking You.

For CUPID LIMITED

Saurabh V. Karmase

Company Secretary and Compliance Officer

ECSIN : EA041 701 A000083921

CIN No.: 125193MH1993P1C070846CUPD LIMITED, I)

Factory & Registered Office:

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Q3FY'23 Earnings Conference Call. "

January 31, 2023

MANAGEMENT : MR. OM GARG – CHAIRMAN AND MANAGING

DIRECTOR – CUPID LIMITED

MODERATOR : MR. BINAY SARDA – ERNST & YOUNG

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Moderator: Ladies and gentlemen, good day, and welcome to the Cupid Limited Q3 FY'23 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero, on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Binay Sarda from Ernst & Young. Thank you, and over to you, sir. Sorry to interrupt Mr. Sarda, your audience breaking up, we're unable to hear you.

Binay Sarda: Thank you, Lizann. Good evening to all of you, and thanks for joining this Q3 FY '23 earnings call for Cupid Limited. We have mailed the results and press release to you. I hope you have received the same, and we have also uploaded this on our website and the stock exchanges. To discuss the results and address the queries of the investors, we have with us Mr. Om Garg, Chairman and Managing Director of the company. Mr. Garg will give you a brief overview of the quarter past and then we will open the floor over to Q&A session.

I would like to remind you that everything said on this call that reflects any outlook for the future or which can be construed as a forward-looking statement must be viewed in conjunction with the uncertainties and the risks that we face. These uncertainties and risks are included, but not limited to what we have mentioned in the prospectus filed with SEBI and subsequent annual reports, which you can find on the website. With that said, let me hand over the call over to Mr. Garg. Over to you, sir.

Moderator: Mr. Garg, sir, you may please proceed.

Om Garg: Thank you, Binay. Good afternoon, ladies and gentlemen. On behalf of Cupid Limited, I would like to welcome you all for attending the third quarter FY '23 earnings conference call today. By now, I hope that you have had a chance to review the third quarter financial results, we had published last night after the Board meeting. I would briefly comment on those.

The healthy performance was indicated by a 15% improvement in the top line and a whopping

302% improvement in the profit after tax numbers, as compared to the quarter a year ago. Further, if we look at the nine-months comparison a year ago, it improved by 15% on the top line and 75% improvement in the net profit after tax. So both the last quarter performance and the nine-months performance they are encouraging for us.

Now the main reasons for this healthy performance are: Number One, 96% sales in exports, where we have advantage of Government of India export incentives as well as we have the benefit of depreciating rupee against the US dollar when we submit our invoices to the customer. So that was a reason number one for the healthy performance.

And second, and equally important was the steady and declining input costs during the quarter.

And number three, we had more sales of high-margin item, which is female condoms as

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compared to the quarter before. So in addition to these three highlights, I would like to also mention that Cupid has applied for a WHO and CE mark for our IVD products during the quarter.

And finally, during this quarter, Cupid started an employee share plan ESOP for 27 employees.

Cupid has done this ESOP plan for the first time in its 25-year history. And our order book is robust at INR 171 crores as of January 1, '23. Now at this point, I would like to open the discussion for a question-and-answer session, please.

Moderator: The first question is from the line of Zaki Nasser, an individual investor.

Zaki Nasser: Sir, congratulations on a, I would say, a fantastic set of numbers with improved margins. And as you have indicated in your presentation, bright future for the company. Sir, I would like to ask two questions, sir. Number one is, as of

now, our IVD device is very small. Although of

December last -- till nine months, December last year, they were larger, maybe because of the pandemic and stuff like that. So how do you propose to scale this up, sir? And I mean, could you just give a brief of this because this looks like a very interesting and very large area, sir? And number two is, I would also like to ask you about what is your plans on the cash, we have on books, sir?

Om Garg: So first question about the IVD. As you know, the entire project was delayed due to COVID-19.

And finally we had applied for the manufacturing license from the drug controller of India, and we have received 12 out of 16 licenses already. And then we had prepared some samples to be sent to the potential customers for the quality verification and also for the packaging styles. So now we have started to get feedback from some of these distributors, hospitals and laboratories. And the feedback we have had is that the quality is good, better than some of the products already in the market and our price is quite competitive. Now for the Indian market, we are eligible, and we have started to do the commercial operations to the various state governments through their tenders and also sales to the private sector.

However, for the central government tenders, we need a three-year manufacturing experience to qualify for the participation. Now in terms of the export orders, we need WHO and CE mark to be able to export the goods. This is the requirement of most of the countries and in some countries, there is a requirement for ISO 13485 Certification, which Cupid has already obtained. The margins are quite a bit better in the export sales, 35% to 45% as compared to about 20% in the domestic sales. And the five countries we have identified, with the most potential are South Africa, Kenya, Tanzania, Nigeria and Zimbabwe. And in terms of the products, the most in demand are HIV, Malaria, syphilis and hepatitis. So although we have been slow in starting the commercial operation, we expect a good business in the second year and certainly, starting from the third year. So that's the update on the IVD.

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Now regarding the cash and cash equivalents we have with this third quarter results, we have over INR 100 crores available with Cupid, and we are in the process of discussing, what is the best use of these funds. Of course, we have the dividends is one outlet for the funds. And number two, if we look at any further expansion or adding for another vertical like feminine health and wellness program, that could also require some funding and third and most important, we are also considering buying back of Cupid shares. So that is the update on the cash and the investments Cupid has accumulated so far.

Zaki Nasser: Sir, if I may extend on my first question a bit, sir. See because this IVD looks like the way the world, I would like your inputs on it, sir, the way the world has changed after the pandemic. I would feel that this IVD testing things for different maybe lifestyle diseases or viruses become more and more important in our lives. So in '25, that is the third year, what do you expect your top line to be from the IVD care segment, sir?

Om Garg: In the year '25, we expect INR 50 crore to INR 100 crore turnover in FY '25.

Zaki Nasser: In the IVD segment, sir.

Om Garg: From IVD alone.

Zaki Nasser: Sir, and last con call, you had mentioned case, there was some kind of a tie-up for some outside party was looking at Cupid and there were some four to six weeks they would take. I mean is that still on or--I mean that will happen as and when it happens, if it happens kind of stuff, sir.

Om Garg : Yes, the discussions with the Singapore party are going on, and we are looking at the agreement whereby Cupid would do the manufacturing on their patented products. It's going slower than we thought, but it is very much in the process. Further last month, we also received another

request from a company in the United States, who would like Cupid to manufacture their products in India for them. So they have visited the factory, and we have initiated the discussions with them as well. Both these possibilities are going a bit slower than what we thought, but they provide a good indication of the market demand for manufacturing going forward.

Zaki Nasser: So sir, can we reasonably assume that 2025 Cupid will have a top line of like around INR 325 crore to INR 350 crores, sir?

Om Garg : Yes. Like I mentioned, in IVD alone, it would be INR 50 crore to INR 100 crores and from the condom business, we could expect easily INR 180 crores plus.

Moderator: The next question is from the line of Somnath Paul from Archon Capital.

Somnath Paul: I just wanted to know, can you just throw some light on the raw material pricing versus the material costs? I understand that we have benefited out of raw material pricing. So can you just

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share some light on how much as a cost percentage it is? And how can we see that going forward?

That's the first question.

Om Garg : So in terms of the stable and declining input prices, we have in general, 7% to 8% decline in terms of the foil purchases and in terms of the packing material. And in case of silicone oil, it's upward of 20% decline in the price during the quarter. The only exception is a 5% to 7% increase in the price of latex during the quarter as compared to the previous nine months. So we are expecting the stable or downward trends to continue, and that should directly impact on the profitability of Cupid business.

Somnath Paul: Sir, if I may just add on, can you just throw some light on how much is the inventory or what is the lead time that you have basically? I need to say so that we can have some idea on how positively, this will affect with a lag or with the lead time because I think this is an important factor for the margins going forward as well?

Om Garg : So the current trends and the quotations we are getting, we are going as far out as six months.

Now beyond that, the vendors are not taking any orders or accepting new quotes. So we have to follow these price trends. But looking at the worldwide commodity prices and slow business development, economic slowdown--we expect these trends to continue for the entire financial year '23, '24.

Somnath Paul: So you mean to say the low packaging as well as latex and then silicone oil pricing or in favourable pricing will affect you positively for the next 12 months or so?

Om Garg : Yes, we expect the packaging prices all to continue this downward trend for the next 12 months.

Somnath Paul: No. But I'm sir, more focusing on the raw material, packaging goods still be a lesser percentage. I'm talking about the latex and probably the chunk of the raw material?

Om Garg: The most important is the latex. And I mentioned then this in the past quarter, there was a slight increase and beyond the rainy season in Kerala, starting from May, we expect the downward trend to resume in terms of latex prices. The second most important component is the silicone oil, which was getting imported from China. And suddenly, because of the economic slowdown there, the prices crashed. And actually, in the last quarter, we had a decline of as much as 27% in the silicone oil prices.

Somnath Paul: Yes, sir, the point was--yes, the point was that as China opens up, probably you might see a lot of commodity pricing increase. So I was just trying to understand that how much of the pricing at the low-cost inventory are we secured then? And then how shall we see they are going forward?

Om Garg : We are--as I mentioned, we have done the procurement for the next six months until June, and we are watching the trend. And depending on the worldwide demand and supply, as you had

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mentioned, we would continue our efforts to get some of the lower prices locked in for all the raw materials.

Somn

ath Paul: Yes, because there's a lot of cash on books. So that might just be an option as well. And the second question, sir, how do you see the order book contribution going forward in the sense of higher margin products, which is basically the female condoms or otherwise. I mean, how do you see the margin-wise profile of the order book going forward?

Om Garg : The current order book, as I mentioned, is INR 171 crores as of January 1, we are expecting

some big tenders coming out later in the year for male condoms from South Africa from Tanzania and from India. Also, in March or April, we are expecting a tender from Brazil for female condoms. And also, the South Africa requirements for the second year of the three-year contract is expected to be out in the first week of February.

So in our assessment, we see a continuous order process. And as we dispatch our goods, we should be getting the new orders almost continuously. So we believe that 95% of the capacity will be continued to be utilized in terms of the order book.

Somnath Paul: And sir, does the new Brazilian election or the new president and the economy doing good affect you or does it have a correlation or these are independent events?

Om Garg : Sorry. Please say it again.

Somnath Paul: I just wanted to say the good economic conditions in Brazil and probably the new presidential election, does that have a correlation with your orders? Or how do you see the order book from Brazil going forward or they are not related?

Om Garg : It does. The first of the latest presidential election is that their budget has been delayed from January until end of March. And also the overall size of the budget is still under discussion because of the leftist party winning the elections as compared to the rightist group earlier. So yes, the politics there does have a bearing, and we have yet to see the level of requirements they would announce in the tender. We just have to wait.

Moderator: The next question is from the line of Keshav Garg from Counter Cyclical PMS.

Keshav Garg: Sir, many congratulations for great results. Sir, but going forward, do you think sir, you can carry--we can sustain this bottom line of INR 10 crore sir, because previously also on three occasions, we could do INR 10 crore quarterly profit, but then that was unsustainable. So this time, you think that we can sustain this going ahead?

Om Garg : Yes. Our projections for the fourth quarter is for improving the top line at 20% and the bottom line by 20% also using the third quarter as a base. So we expect a minimum of INR 10 crore profit in the fourth quarter same as we had declared last night in the third quarter. So all the

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indications are that with the lower input prices, our costs will be under control, and we should be able to maintain the profit. Of course, part of that, as I mentioned earlier, would depend on the quantity of female condom orders, we receive because of their high margin.

Keshav Garg: Sir, also, you mentioned in your opening remarks that by FY '25, we are expecting around INR 50 crore to INR 100 crore revenue from IVD division, sir. Is that understanding correct or is it FY '26?

Om Garg : No. The FY '23, the IVD sales would be minimal. We are pegging it at a maximum of INR 1 crore. And in FY '24, our target is INR 5 crore to INR 10 crore only because of the limitations I mentioned i.e. lack of the WHO prequalification and the CE mark. However, in the next year, financial year '25, we should be able to participate in the export orders for IVD.

Keshav Garg: Sir, and also, there is a loss for nine months of around INR 1.2 crore in IVD division. So when do you foresee this division breaking even at what level of revenue does this division break even?

Om Garg : I'm sorry, please say that again?

Keshav Garg: Sir, I'm trying to understand that at what level of revenue does this division break even?

Om Garg : It would be about INR 5 crore.

Keshav Garg: So that's heart

ening to know. Also, sir, we have not been able to find a CEO for the condom business since many, many years. Also, sir, then we have diversified into an unrelated field of IVD. Now we are planning to enter a third division. Sir, so it's not only a question of the funds availability, it's a question of management bandwidth also. So where do you think because otherwise, sir, your precious time and effort will get diverted into incubating these new businesses and whereas our cash for our condom business might languish?

Om Garg : So what's the question?

Keshav Garg: Sir, my question is regarding the management bandwidth that where is the management bandwidth to manage these three unrelated businesses, out of which two are totally new for us and which will require far more effort. Sir, so in that case what happened to our original cash cow business of condoms?

Om Garg : Well, our top most priority is the male condom business and the female condom business, which are our primary products and for which the maximum demand is coming from the world market. The third product, the water-based lubricant jelly is slowly gaining popularity. And this last and fourth vertical we have done is the IVD testing kit business. So still our primary products and revenue base and profit will come from condoms and lubricants only until the IVD business picks up in next two to three years.

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Keshav Garg: Sir, also you mentioned in the beginning that in FY '25, you are expecting INR 50 crore to INR

100 crores revenue from IVD division and around INR 180 crores revenue from your condom business. Sir, is that understanding correct?

Om Garg : Yes. That is our current estimate, INR 180 crores from the condom business and lubricants and projected revenue from IVD business is INR 50 crores to INR 100 crores.

Keshav Garg: Sir, but if you see that in the past 12 months, last four quarter, alone we have done INR 153 crores revenue. Sir, so that means in the next two years, sir, there is not much growth that is expected from condoms. And so that's what I was trying to stress on my --in my earlier question that, I mean, if we are going to devote all our --the time and effort of the management in these two new segments, one is IVD and one is the third diversification, which is yet to come, which you are planning of female wellness. Sir, so then no wonder that our original condom business is not much growth that is being expected over there?

Om Garg : No. Our top priorities, again, in terms of how our time management is over 60% devoted to male and female condoms, and lubricant business, another 15% and 25% balance is for IVD business. The reason we are expanding our business verticals is because there is a limitation in terms of how much we can do the expansion in the condom business. And number one, the space we are located in, is completely occupied. We have to buy new land or move the factory to completely a new location and with all the infrastructure there.

And second of all, we have to look at a consistently high demand from the world market. If we build the new facilities and there are no orders, so we would not like to be in that situation. Right now, from all our intelligence, we are very much balanced in terms of the supply --worldwide supply and demand from the existing manufacturing units. In other words, we are not neglecting by any means, the condom business, in our business strategy.

Keshav Garg: Right, sir. And sir, what is the progress in the penetration of female condoms in the United States, sir, have we got the approvals that we were looking for?

Om Garg : Well, in terms of male condom penetration, there was a question of product liability issue under discussion. And for the female condom, the US FDA is reviewing our application for approval of the female condom. So the feedback from USFDA is that they would like Cupid to do a clinical study in US using US participants as compared to the earlier study, which we did

in

South Africa.

Keshav Garg: Right, sir. Sir, that's all. Sir, lastly, I just wanted to know your capex plan. Do we have any major capex plan?

Om Garg : There is no capex plan at all scheduled for FY '24 and none in the remaining three months of this FY '23 either.

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Keshav Garg; So that's great to know. Sir, so basically, if you are operating at 95% in our condom or for condom capacity, and we are not expanding the capacity, and you mentioned that in existing plant, there's no space also. Sir, so that means not much growth can any way come from condom business?

Om Garg : Yes. The improvement will come from better pricing, better revenues from the condom business, and we do have spare capacity for female condoms. We are trying to generate more demand for female condoms, mainly in South Africa and Brazil but their governments are taking their decisions at their own time scale. So we expect to increase some revenues there, in terms of female condoms.

Keshav Garg: Sir. And if we operate our female condom as well as male condom at full capacity throughout the year then, sir, what is the maximum revenue the condom side of the business can generate?

Om Garg : So if we work at full capacity, we can easily have at 480 million male condoms at INR 2.5 per piece. So it would be about INR 120 crores or so from male condom. And for female condom, we can produce 25 million pieces if we --have the orders and which is at a minimum of INR 20 per piece. So that is again over INR 100 crores revenue from female condoms.

Keshav Garg: Sir, so that means around INR 220 crores total condom revenue, we can do in one year provided we have orders?

Om Garg : Yes, correct. Provided we have orders.

Moderator: The next question is from the line of Ranu Parwal from Upskill Tech Solutions.

Ranu Parwal: I just wanted to understand one piece. I hope, I am audible?

Moderator: Yes, Mr. Parwal.

Ranu Parwal: I just wanted to understand the ESOP policy that has been brought, it has been brought after a while up to what level has it been brought? And how many beneficiaries are we expecting from it?

Om Garg ; No, again, I'm sorry, your voice was not clear. Could you please repeat the question again?

Ranu Parwal: Yes, I will. I just wanted to understand the ESOP policy that has been brought has been brought up to what level? And how many beneficiaries will you expect within the companies at up to what level are we expecting it to go up to in terms of your hierarchy?

Om Garg : ESOP, yes. So we have offered this option to 27 employees at a price of INR 140 per share. And

it's a one-year lock-in period and could be cashed out in the next two years or a total of three years.

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Moderator: The next question is from the line of Pranjal Agarwal from Green Portfolio.

Pranjal Agarwal: I just wanted to know like what is the amount of investments we've already made in the IVD business?

Om Garg: About INR 8 crores.

Pranjal Agarwal: About INR 8 crores. And our facility is ready, we're just waiting for orders, right?

Om Garg: Yes, we are ready to get the orders. However, as I mentioned earlier, we have to wait for the WHO pre-qualification and CE Certificate in order to participate in bigger tenders.

Pranjal Agarwal: And sir, I think the deal with the Singapore-based pharma company was about to take off. So like are we still in that process? Or have you left that? I mean it didn't work out.

Om Garg: No. Like I mentioned earlier, we are in discussion with the Singapore party, and we are exchanging all the technical notes, and we are going through the agreements, in terms of pricing and our responsibilities towards manufacturing. So the discussions are going a bit slow, but they are still interested, they have visited our plant, and they would like very much to get all their manufacturing done in India, as compared to anywhere else.

Moderator: The next question is from the line of Keshav Garg from Counter C

yclical PMS.

Keshav Garg: Sir, I wanted to understand about the ESOP, sir, why don't we open a ESOP trust, the company can give a loan to that trust and that trust can purchase shares from the open market which can then be allotted to the shareholders. This will avoid equity dilution of the existing shareholders.

Sir, what are your thoughts on the same?

Om Garg: No, since it was our first effort, we had contacted an expert, on the ESOP plan. And as an introduction, this is the scheme he had mentioned. And maybe in the second step, we would consider the trust --going through the trust.

Moderator: The next question is from the line of Anshuman Sharma, an individual investor.

Anshuman Sharma: Sir. First of all, congratulations for the fabulous results. And my question is, sir, in the order book of INR 171 crores, how much part is of male condom, female condom and lubricant?

Om Garg: 60% of the orders are for male condoms, 31% orders are for female condoms and the balance 9% is for lubricants.

Anshuman Sharma: Sir, one more question. In last con call, you have said that we are on --we are getting female condom, big female condom orders from Brazil of 50 million pieces. So that the condition in Brazil is not so good. Can we expect the order will be cut short or will be the same of 50 million pieces?

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Om Garg: No. Like I mentioned to the previous caller, the situation in Brazil has changed significantly since their last presidential elections. And the government requirement is not at all clear in terms of the quantity and volume of their female condom requirements, we are expecting some announcements, in the month of April and then only we would know what would be the size of their tender.

Anshuman Sharma: Sir, one more thing that --you have mentioned in earlier con call that there is a news in the market that acquisition of Cupid Limited. There is any update on that acquisition of Cupid?

Om Garg: Well, a few people have expressed their interest, and we are talking to them. But as of now, there is no significant development.

Moderator: The next question is from the line of Vivek Chaturvedi, an individual investor.

Vivek Chaturvedi: Sir, just wanted to understand regarding our potential deal with the Singapore entity, what business are we looking to do for them? Are we looking to manufacture male condoms, female condoms?

Om Garg: No. They are looking to manufacture their two patented products related to the detection of diabetes. It has nothing to do with the condom business.

Vivek Chaturvedi: So sir, I mean, do we have the expertise for this business? Is this part of the IVD vertical? Or how are we going to be able to do this?

Om Garg: Yes. This will be part of our IVD project.

Vivek Chaturvedi: And sir, any indication on if the deal does go through, what would be the minimum size per annum?

Om Garg: We don't know that yet. The Singapore party is continuing to look at the marketing possibilities not only in Singapore, but in India itself also. So they have not disclosed yet the quantities they would like Cupid to manufacture. But my own thinking is that once the arrangements are in place, and they approve, of our manufacturing process and approve the quality of the final product, the quantity could be substantial.

Vivek Chaturvedi: Sir, and what would be any indication of what would be the pricing of each product? So say,

assuming we are making 1 lakh piece what could be the pricing.

Om Garg : No, not yet. They have not fully disclosed all their technical details including the raw material requirements and raw material consumptions. So at this stage, it's difficult to estimate the unit cost of the product.

Vivek Chaturvedi : Actually, sir, we are going to be doing contract manufacturing for them?

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Om Garg : Yes, we will be under contract to them, to manufacture their two products.

Vivek Chaturvedi: And sir, any indication of how much sales would

we be doing in FY '24? Any broad indication?

Om Garg : No. I think I don't expect any production at all during rest of this FY '23, till end of March, the way they are going, it would start only in the next financial year FY '24.

Vivek Chaturvedi : Sir, I meant for the entire company. For the entire company, what are you looking at in terms of the top line for FY '24?

Om Garg : For FY '23, first of all, we are expecting a 20% increase in top line and 20% increase in the bottom line in fourth quarter as compared to the third quarter of FY '23. And to answer your question, if we compare the FY '24 projection, it's about, I would say, a minimum of 10% improvement in the top line and at least a 20% improvement in the net profit after tax as compared to the FY '23. So we are looking at a very healthy performance even during FY '24.

Vivek Chaturvedi: So 10% top line growth and 20% bottom line growth is what we are looking at, right, sir?

Om Garg : Yes, as compared to FY '23, going into FY '24.

Moderator: The next question is from the line of Jyoti Basu an individual Investor.

Jyoti Basu: Yes. I just want to know the order book for IVD alone?

Om Garg : Yes.

Jyoti Basu: What was the order book standing as on date for IVD alone?

Om Garg : IVD, there is no order book yet. We are approaching the individual customers, mostly in the private sector, and we are servicing the orders as they come along. So there is no backlog of orders. Our sales were only 12 lakhs in the October to December quarter.

Jyoti Basu: What would be your expectation for the next quarter or the next financial year in IVD?

Om Garg : Indeed we expect about INR 1 crore by March and next year and INR 5 crore to INR 10 crore in FY '24. That is our current projection, but it depends on several international developments, including certifications, as I explained earlier.

Jyoti Basu: And why do you think about the breakup of male condom and female condom and also the IVD, still the IVD stand-alone is still negative? Am I right?

Om Garg : Yes. Please repeat your question.

Jyoti Basu: So while looking into the presentation, just one thing I'm noting that IVD results --the segment results is in negative. So IVD is yet to make profit, am I right?

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Om Garg : Profit. I think we should start it in the next financial year '24 first quarter.

Jyoti Basu: Any update on the US FDA?

Om Garg : No. Like I mentioned, US FDA would like Cupid to do another clinical trial in US using US participants.

Jyoti Basu: And on CEO, any candidates approached us or do we have any other plan --alternate plan in case of delay in getting the right person?

Om Garg : No, there is no real update on the CEO. And like I mentioned in the last call, we would continue with the existing management. We have the adequate manpower to expand the business as it is.

Jyoti Basu: And last one more thing. Do you think that the raw material price will be sustained for a year or two? That's the thing...

Om Garg : According to the current indication, the lower prices will continue at least until June of this year. And we are hoping that this downward trend would continue for the rest of 2023, what would be the trend in calendar year '24 is not yet clear.

Moderator: Thank you. Ladies and gentlemen, that is the last question. I now hand the conference over to the management for their closing comments.

Om Garg : Thank you for participating in the discussion. I would say that we are looking for an exciting year in FY '24, for a healthy growth. And we have indicated an expansion in the top line of approximately 10% and the profit potential of 20% increase as compared to FY '23. So we are looking at another year of healthy profit going forward. And in closing, I would like to thank all our shareholders, who have stood by Cupid management through thick and thin. Also, a special thanks to all our customers who have been forwarding many repeat orders, some of them over a period of 15 years.

rs. So we appreciate the loyalty of these customers.

And third of all, we would also like to thank our vendors who have helped us to maintain the product quality as well as to maintain the production cost through cost of raw materials. And finally, I would like to thank all the employees of Cupid Limited, who have worked diligently throughout the year to improve the performance of Cupid Limited. And again, thank you all for participating in the third quarter FY '23 earnings conference call.

Moderator: Thank you. Ladies and gentlemen, on behalf of Cupid Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jun 2023

CUPID LIMITED

Manufacturer & Exporter of Male Condoms, Female Condoms,
Water based Lubricants & In Vitro Diagnostics (IVD) Kits

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SDate: - 1st June, 2023

To,

Department of Corporate Services,

BSE LIMITED,

Phiroze Jeejeebhoy Towers,

Dalal Street, .

Mumbai - 400 001

SCRIP CODE: 530843The National Stock Exchange of India Ltd.

Exchange Plaza, Sth Floor, Bandra-Kurla

Complex, Bandra (East),

Mumbai - 400051

Fax No. -6641 8125 | 20

SCRIP CODE: CUPID

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oDear Sir / Madam,

With reference to captioned subject, we hereby enclose the transcript of e4 & FY 2023
conference call which was hosted b! the company on 2grh May,2023 at 4.30 p.m.

This is for your records.

Kindly acknowledge the receipt.

Thanking You.

For CUPID LIMITED

Saurabh V. Karmase

Company Secretary and Compliance Officer

CIN No.: 125193MH1993P1C070846

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"Cupid Limited

Q4 and FY '23 Earnings Conference Call"

May 29, 2023

MANAGEMENT : MR. OMPRAKASH GARG – CHAIRMAN AND MANAGING
DIRECTOR – CUPID LIMITED

MODERATOR : MR. YASH SAVLA – KIRIN ADVISORS

Cupid Limited

May 29, 2023

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Moderator: Ladies and gentlemen, good day, and welcome to Q4 FY '23 Results Conference Call of Cupid Limited hosted by Kirin Advisors. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Yash Savla from Kirin Advisors. Thank you, and over to you, sir.

Yash Savla: Okay. Thank you. Good afternoon, everyone. Thanks for joining the conference call of Cupid Limited. I would like to welcome, Mr. Omprakash Garg, Managing Director and Chairman.

Omprakash, sir, over to you.

Omprakash Garg: Thank you, Yash. Good afternoon, ladies and gentlemen. On behalf of Cupid Limited, I would like to welcome you all for attending the Fourth Quarter FY '23 and the Full Year FY '23

Earnings Conference Call for Cupid Limited today. By now, I hope you had a chance to review the financial results we had circulated yesterday after the Board meeting.

And I am pleased to report that the financial performance has improved significantly, not only in the fourth quarter, but also for the entire FY '23. For example, in the fourth quarter, our top line improved by 34%, as compared to a year ago quarter and also the bottom line actually improved by 99%, as compared to a year ago quarter.

And now talking about the full year performance, our top line at INR164.1 crores improved by about 19%, as compared to a year ago. However, the profit after tax improved by about 82%. Now these significant improvements have been achieved by better operating efficiency, as well as because of the stable input costs, and we are expecting more tender orders from Brazil, as well as Tanzania.

Right now, our order book stands at INR177 crores, as of April 1. And as we had mentioned in the press release, the Cupid Board has declared a final dividend of INR3 per share, making it a total of INR5 per share for the entire financial year. This is the best ever dividend your company has declared so far in its 30-year history.

Now going over to some of the highlights from the operations. First of all, like I have mentioned, this is the second best year for both the top line, as well as bottom line during its entire 30-year history. Number two, the export business revenue was 94% of the total revenue. And as you are aware, there are some export incentives from Government of India, which, of course, contributes to the improved performance. Number three, again, the profits have been achieved mainly due to stable lower input cost, as well as better operating efficiency. And order book, as I mentioned, stands at INR177 crores, as of April 1. And finally, the dividend payment total during the year would be INR5 per share.

Now coming to the outlook because of excellent order book, and also because of the growing demand for our products, mainly male and female condom, we are expecting another good year, almost 10% to 12% improvement in the current financial year ending on March 31st, 2024, as compared to this year.

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In general, we have had many stable customers with whom we have been doing business for many years. For example, our top ranking customer is United Nations Population Fund to whom we had sold about INR57 crores worth of goods during FY '23. And similarly, we have six or seven other customers, who have been ordering our products for last many years. By the way, we have sold our products to over 104 countries worldwide since we started the operations. So with these initial remarks, I'm pleased to open the meeting for Q&A session.

Moderator: We will take our first question from the line of Onkar Ghugardare from Shree Investments.

Onkar Ghugardare: Yes. My question was regarding the INR177 crores orders, which are there with you. So how much you intend to complete entire order since you said around 10%, 12% revenue growth, which implements to around INR180 crores of the revenue. And what would be the contribution from male and female impact? First question is that.

Omprakash Garg: Okay. So we expect a minimum top line of INR175 crores, and out of which 75% would be male condoms, 23% would be female condom sales and 2% others.

Onkar Ghugardare: Okay. The next question is regarding -- there were some talks about you have been approached by 2 other players for sale of the business. Any update on that front?

Omprakash Garg: Basically, the negotiations are still going on, and there is no final decision, as yet on that.

Onkar Ghugardare: But what would be the timeline, if any, you can give?

Omprakash Garg: I would say in the next 6 months.

Onkar Ghugardare: So are the talks still going on? I mean, is there anything we can expect qualitatively? Or like what kind of talks are going on?

Omprakash Garg: No. We have provided all the information the investors were looking for, and now they are in the process of organizing their strategy and funding for this deal. So the ball is in their court and very difficult for us to be more precise on what their thinking is.

Onkar Ghugardare: Okay. These are other condom manufacturer players? Or these are the private equity players you are talking to?

Omprakash Garg: No. They are an independent investor.

Onkar Ghugardare: Okay. So they are not related to this condom business, right?

Omprakash Garg: Sorry.

Onkar Ghugardare: They are not into this condoms manufacturing business.

Omprakash Garg: No. Correct.

Onkar Ghugardare: Okay. Another question is regarding today only you released a press release stating that cancellation of order. So I mean can you state the reason for that?

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Omprakash Garg: Well, we have been supplying all the 3 products, male condoms, female condoms and lubricant jelly to UNFPA for many years. And this year, we had supplied about INR25 crores worth of jelly to UNFPA. But what happened in March and April that they had tested some of our batches and they have established that during transit and during the storage period at the destination, a parameter, quality parameter has deteriorated. And based on their risk analysis, they have decided to stop the orders already given to Cupid.

Onkar Ghugardare: Okay. So this is with the quality of condoms, which Cupid is supplying? Or is it regarding exactly what?

Omprakash Garg: This is not related to either male or female condoms. This is only related to the water-based lubricant jelly.

Onkar Ghugardare: Okay. All right. Another question is regarding, I mean there hasn't been any significant capital expansion or capacity expansion from the Cupid. I mean, what is the thinking on that front? And is there anything you are trying to -- I mean, are you trying to bring in some fresh management change to bring this business to the new level of growth or fresh space wide? Or since the talks are going on for the sale of the business, there is no intent for that?

Omprakash Garg: No. Right now, our thinking is to look at a possible expansion of business. So that is one part of the investment consideration we have been discussing. But other than that, there are no plans to bring in any fresh management personnel.

Onkar Ghugardare: Okay. And what kind of expansion you are talking about? Can you elaborate that?

Omprakash Garg: We could add -- yes, we could add male condom and female condom production capacity, that is our primary issue right now.

Onkar Ghugardare: By how much? And what is the current capacity? Like any idea on that?

Omprakash Garg: Yes. We have about a total of 560 million pieces of male and female condoms per year.

Onkar Ghugardare: Yes. So what's the current cap

acity utilization? And how -- what's the capex you are looking at?

How much addition that would be to the existing?

Omprakash Garg: Capacity utilization is 94%, and we are looking to add about 12% to 15% capacity expansion.

Onkar Ghugardare: Okay. So around -- from 560, you will be looking at around how much around 7 lakh or like how much?

Omprakash Garg: About 700 million approximately.

Onkar Ghugardare: Okay. And how much time that would take? Or is there any concrete plan regarding this? When can we expect this? And how much capital that would need?

Omprakash Garg: Okay. It would need from INR12 CR to INR15 CR, and it will take from about 12 months to 15 months.

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Onkar Ghugardare: But has that already been decided by the management? Or like how is it?

Omprakash Garg: We are closely examining the market size and market order situation and the current capacity worldwide. And we want to make sure that when we do decide to expand the capacity that we are likely to get the orders continuously for many years to come.

Onkar Ghugardare: Okay. Just a final question on the raw material prices, how is the current trend going on in this quarter?

Omprakash Garg: Okay. Most of the input cost in terms of the packing material, silicon oil, chemicals, the prices are either stable or they are down 5% to 7%. Only the natural rubber latex, the price trend seems to be up about 6% this year, as compared to last year.

Onkar Ghugardare: Okay. So 6% up from the Q4 or Q1 of the last year?

Omprakash Garg: No, from Q1 of last year.

Onkar Ghugardare: Okay. As compared to the current quarter, which is currently going that is Q1?

Omprakash Garg: Yes.

Moderator: We take our next question from the line of Keshav Garg from Counter Cyclical PMS.

Keshav Garg: Sir, what happened to Tanzania, male condom tender of INR75 crores, which is expected to open in March '22, and also the Brazil tender. So have these tenders already been opened, or

they are still awaited?

Omprakash Garg: No. The March tender from South Africa has been postponed and now it is supposed to be next week, i.e., 1st week of June. And another order female condom tender from Brazil is expected to be announced also during the later part of June. Some of the tenders have been delayed due to the budgetary control from their respective national governments.

Keshav Garg: Okay. Sir, so now we are anyway capacity constrained, sir so -- and on the other hand, sir, this IVD division, it is year-on-year, actually, the sales have gone down from INR3.7 crores to INR40 lakhs in the whole of last year, whereas the loss has shot up dramatically to INR1.4 crores, sir and last quarter, you had mentioned that for last financial year, INR10 crores revenue was expected, but instead, we were INR40 lakhs. And last quarter, you had told us that in for the FY '24 to expect INR50 crores to INR100 crores revenue.

And sir 3 years back, while starting this division, you had said back in FY '21 itself, INR30 crores to INR40 crores revenue was expected, which none of this came. Sir so now what is the outlook for FY '24 for IVD division? What kind of losses shareholders can expect, which we were expecting anywhere from day 1 and yes, sir.

Omprakash Garg: Okay. The IVD project, as I had mentioned earlier was delayed by 2.5 years due to COVID. And when we started production in late '22, we have achieved INR40 lakhs worth of sales in the current FY '23 that is up to March 31st, '23. Now we are forecasting a sale of INR2.5 crores for FY '24 and a minimum sale of INR5 crores in FY '25.

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There are 2 main reasons that the sales are not growing, as fast as we had projected 2 years back. One is that most of the big tenders, including the Government of India tenders and many other international tenders, they require manufacturers to have 3 years of operating experience because before they ar

e eligible to participate in the tender, so that has prevented us from participating in some of the bigger tenders.

The other issue is the requirements of WHO. Now Cupid has applied for the WHO and it's likely to take about 12 months to 15 more months. And if we receive the WHO approval, that will open big doors for all the United Nations orders, world bank-funded orders like from global funds and so on. So once we start to meet those 2 major conditions, the entire market would open for Cupid. So that is the situation.

We are fully equipped now. We have the staff. We have through about 75 local distributors in India, we have sent our samples, and we have asked these potential customers to review the quality of our products packing, as well as how we compete in our pricing, as compared to the competition.

Keshav Garg: Sir, so what kind of losses can we expect for this year and next year? And when will this division break even if at all?

Omprakash Garg: I would say that it would start to breakeven once we have the sales over INR5 crores in FY '24.

Keshav Garg: Sir, realistically speaking, sir, now there is no demand and there is huge overcapacity in global industry, sir, so the established players are working on breakeven level. Sir, so realistically speaking, things look really weak. Sir, so is it not wiser to just scrap this project and whatever space we will get available, we can at least start producing more condoms, which is making money for us.

Omprakash Garg: Well, both operations are independent. There are separate machinery equipment, as well as personnel and their background and training. So it will be, in our view, would function as a standalone operation. And the reason that some of the bigger players may be breaking even, our view on that is that the product that we have, 5 products we have identified, which is HIV, Dengue, Malaria, Syphilis and pregnancy test kits.

There is not as much competition in the top 4 I have mentioned, and our margins would be better, plus 20%. And plus, we are expecting more and more business from export sales, as opposed to the domestic sales. And as you know, the export sales will carry 4% to 5% of additional Indian government incentive.

So we are convinced that this is a good business to be in, although we have been slow in achieving our target, but you can call it a learning process for us. But we are confident that in next year and a half, we would be more than breaking even.

Keshav Garg: Sir, best of luck with the learning process. And sir, just wanted to understand that what is the INR100 crores cash lying on our balance sheet. Sir before we start another third venture and start making losses, sir, it is better to return the money to the shareholders in the form of our share buyback?

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Omprakash Garg: Okay. We have seriously considered the issue of share buyback, which was discussed also in the last call, and we have 2 other possible expenditures coming up. One is the higher need for capital expenditure due to this possible expansion; and the other one is a larger working capital requirements for IVD operations. So we would continue to look at the buyback option. And once the situation is clear on about two situations, we would certainly look at it again.

Keshav Garg: Sir, I mean, you just told us that INR12 crores, INR15 crores will be the capex that you are looking at condom expansion. And sir, for INR5 crores of IVD sales, how much working capital can possibly, I mean, INR5 crores revenue take. Sir and plus, we have internal accruals also, this year also, you are expecting all-time high revenues. Sir so I mean, I think we can easily do a share buyback of over INR50 crores. Sir, so kindly you think about it? Thank you very much.

Moderator: We will take the next question from the line of Yashwanti Khedkar from Kojin Finvest.

Yashwanti Khedkar: Sir, I just wanted to understand like how is

the Indian market, as well as the contraceptive industry is concerned?

Omprakash Garg: The Indian market for condoms, particularly for male condoms is growing. And the only issue is that there are 4 or 5 low-capacity manufacturers, who are offering their products at a much lower price. So the bottom line for the sale of male condoms in India is lower than what we achieved in our export sales. So market itself is good, but profits are much lower.

Yashwanti Khedkar: And what is the difference in the margins in the international market and in the Indian market?

Omprakash Garg: So in Indian market, you can expect 5% to 7%, and in the export market, minimum 15%, more like 20%.

Yashwanti Khedkar: Okay. Sir you mentioned in your opening remarks that, we kept the cost in the control. So what raw material cost into the control? So, what is the raw material used for the manufacturing?

Omprakash Garg: I'm sorry, please say it again.

Yashwanti Khedkar: So I just wanted to understand what is the raw material used in the manufacturing?

Omprakash Garg: Yes. Natural rubber latex.

Yashwanti Khedkar: Okay. And how is female condom segment is growing in India?

Omprakash Garg: Yes. The demand is increasing. And the projection is also likely to increase, including the Ministry of Health, Government of India is also contemplating additional tender for the manufacturer to supply additional condoms.

Moderator: We take the next question from the line of Ranu Parwal from Acura Solutions.

Ranu Parwal: Nothing. I think my questions were answered. Most of the questions were already included here.

Moderator: We take the next question from the line of Zaki Nasser from an Investor.

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Zaki Nasser: Sir, congratulations on a decent set of numbers and best of luck for the next year. Sir, my 2 questions are about the IVD segment, sir. The capacities we have set up, what kind of peak turnover are possible in that segment? And do you expect to achieve it in the next 3 years to 5 years, sir?

Omprakash Garg: Okay. We expect to do, like I mentioned, INR5 crores worth of IVD sales in FY '25, and INR50 crores to INR100 crores starting from FY '26, I mean 2026 because of the 2 qualifications I mentioned earlier, i.e., a WHO approval; and second is the qualification that we have been in the manufacturing business for 3 years. So based on those 2 factors and based on our current capacity, we can achieve a sale of about INR100 crores after FY '26.

Zaki Nasser: And sir, I would also want to ask you whether -- see, any product extension you are looking at because making these latex gloves is, I think, a part of the process to making condoms kind of stuff. So are you looking at any kind of convenient product extension because these latex gloves are also used a lot in nowadays, sir?

Omprakash Garg: Okay. We have looked at other products, but after COVID, the demand for the gloves, hand gloves has gone down. And many of the existing plants, say, in Malaysia have stopped the operation and some of them even have gone bankrupt. So the best product right now from market demand point of view and for future prospects are male condoms and female condoms. So we are watching the trend and we are constantly reviewing the installed capacity worldwide, as compared to the demand. So that is why earlier I mentioned that we are contemplating a possible extension program.

Zaki Nasser: Sir, also, do we -- do we market any of our products under our own brand, sir, because female condoms, do we market in our own brands or it's just kind of a third-party manufacturer will do?

Omprakash Garg: No. all our products are sold under Cupid brand, Cupid male condoms and Cupid female condoms. Also we undertake Third Party manufacturing.

Zaki Nasser: No, sir. Do we sell directly to the customer, sir?

Omprakash Garg: Some of them, yes. Female condoms, we are doing directly to the customers both online, as well

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through physical distribution.

Zaki Nasser: But how's the response been sir, for that?

Omprakash Garg: The response from female condom is moderate. It's not picking up as fast as we had envisioned. But the sale of male condoms also through website, as well as through some of the local distributors, but mostly through a tender business. This demand has been increasing very much.

Zaki Nasser: And sir, see, Cupid is a valuable company, which throws up a lot of cash every year. For some reason, maybe the market cap doesn't indicate that it's just a suggestion for you, sir, that buyback would be a good option to correct the abnormality and also take some cash off the balance sheet, sir? Thanks a lot, sir.

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Omprakash Garg: Yes. Same question was asked earlier, and we are constantly evaluating the buyback option. And hopefully, next few months, we would be able to take a final call on that.

Moderator: We will take the next question from the line of Onkar Ghugardare from Shree Investments.

Onkar Ghugardare: Yes. Last call, you have mentioned -- you had mentioned that the U.S. FDA is telling you to conduct studies in U.S. for the approval of female cons. So what's the status on that front?

Omprakash Garg: Okay. U.S. FDA has suggested some modifications, and they have recommended that the population base we had used in South Africa was almost 100% black and US FDA has suggested a supplementary study including about 60% white people in South Africa, 30% black population and 10%, Asian Indian population. So we are gearing for that new study. But in general, we had a positive response from US FDA that at least one of our manufacturers like Cupid is trying to get into this field. As you know, currently, there is only one product, which has had monopoly since 2009. So FDA would also like to see a competitive product.

Onkar Ghugardare: Yes. But this issue is going on from, say, last three years to four years? And when can we finally see you entering US and sales starting and any timeline?

Omprakash Garg: Okay. The reason it has taken us three years to four years is that we started the study in South Africa in 2020, and then, it was stopped during the COVID period for 2.5 years. And finally, when we had submitted our report late last year, the US FDA came up with their evaluation. So it is a kind of time-consuming process, but the business outlook is very lucrative. So we are trying to expedite. And my hope is that by this time next year, we would have the US FDA permission.

Onkar Ghugardare: Okay. So within a year, you expect to conduct the study and get approvals from US FDA?

Omprakash Garg: Yes. That is our plan currently.

Onkar Ghugardare: And is there any application you have to submit to US FDA? And after that, how much time it takes to get the approval?

Omprakash Garg: They have mentioned three months to six months.

Onkar Ghugardare: Three months to six months once you send them the application, right?

Omprakash Garg: Yes.

Onkar Ghugardare: And when can we expect this application to be sent after the -- once the feasibility study is done after that only, right?

Omprakash Garg: Yes. So I would say nine months from now, we should be able to submit the new application.

Onkar Ghugardare: Okay. So do you expect the study to take around nine months from June?

Omprakash Garg: Correct.

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Onkar Ghugardare: And after that six months to eight months for the approval?

Omprakash Garg: No, three months to six months.

Onkar Ghugardare: Okay. So even if we take maximum of six months and around nine months here and six months there, so around 1.5 years from now?

Omprakash Garg: 15 months, we are hoping.

Onkar Ghugardare: Okay. And say, if we get this approval in, say, next 15 months, what kind of sales we are looking at?

Omprakash Garg: We are looking at about \$1 million sale or about INR8 crores in the first y

ear with a 50% profit

margin. So INR4 crores worth of profit in the first year.

Onkar Ghugardare: Also -- that wouldn't be INR4 crores, right, around INR8 crores sales, that would be 50% profit margin.

Omprakash Garg: Yes. And this is after taking care of all the marketing expenses. The overall market is actually

100%, but we are adjusting it for the marketing expense. That is why I mentioned net 50% bottom line on a sale of INR8 crores in the first year, net profit of INR4 crores.

Onkar Ghugardare: Okay. But that would be 50% of profit margin, right? Earlier, you mentioned 30% profit margin. So it is 50% or 30% net?

Omprakash Garg: It's 50%.

Onkar Ghugardare: That is 50% margin you are talking about, net margin.

Omprakash Garg: Yes. Yes.

Onkar Ghugardare: Not 30%.

Omprakash Garg: No, no, not 30%. It's 50%.

Onkar Ghugardare: Okay. And another thing is that many participants have asked this several times, just wanted to know why don't Cupid get in touch with some consultancy, financial consultancy, who can guide Cupid very well in terms of how to use the cash properly and how to utilize it properly, so that we can clearly have a road map regarding this?

Omprakash Garg: Yes. we have been discussing what is the best use of these funds, and we had looked at investing more in equity, as well as in debt funds, but we decided last year that it was too risky. And that is why we went into a safer option, which was to invest it in fixed deposits, which are now carrying about 7% interest. So your suggestion is welcome, and we'll certainly engage with a financial consultant to see how we can improve our return on this investment, which is close to INR100 crores.

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Onkar Ghugardare: Yes. Because your expertise lies in manufacturing of condoms -- based -- basically condom business, right, not investing in equity mutual funds or debt mutual funds. So you should keep -

- give that job to someone, who is from that industry, right?

Omprakash Garg: Definitely, yes. Definitely. And we would welcome any suggestions that you might have, or any other investors might have.

Onkar Ghugardare: Okay. Is that the thing, which the potential investors are also looking at?

Omprakash Garg: We don't know that. But certainly, they are looking at our positive cash situation and no debt in the company and good performance over last many years, stable operations. So a combination of all these factors must be in their view in their discussions, internal discussions.

Onkar Ghugardare: Okay. So how serious is this -- how serious are this to investors? And like what's the on-ground situation? When have you talked to them lastly?

Omprakash Garg: No. We talked to them last month. And as I mentioned in the earlier answer, they are looking at the situation and their final decision based on their internal discussions. And I'm estimating that within six months, this should be settled.

Onkar Ghugardare: Okay. So these are the foreign individual investors or like from Indian mutual investor like?

Omprakash Garg: No, they are Indian.

Onkar Ghugardare: Both of them, right?

Omprakash Garg: Right.

Onkar Ghugardare: Okay. And what is the status on the South Africa order front?

Omprakash Garg: South Africa order is expected to come in 1st week of June. This is the order they have postponed from last March.

Onkar Ghugardare: Okay. Another question is that you have partially addressed that, but last year, your dividend was around INR4.5, this year, your dividend is INR5, and your profit has almost increased by around 80%. So at least the dividend should have been equivalent to that of the increase in the net profit, right? And on top of that, you have INR100 crores cash. So why you are being so conservative in giving dividends, even though this is your highest dividend. But if you compare it with your profit growth and the cash you have, it's nothing, right, INR5 this year and earlier -

- last year, it was INR4.5.

Omprakash Garg: We have been increasing the dividends in last 4 years, there was a good amount of discussion at the Board meeting. And certainly, the point you have made was discussed as well. And we hope that with the time this amount of dividend would go up and will improve more and more dividends.

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Onkar Ghugardare So I mean, you have been increasing dividends, but the pace of dividend is like very small and very negligible, as compared to the profits you are making and the cash flow, which you are generating? That's the whole question.

Omprakash Garg: No, I understand. And we are trying to make the best use of these savings we have had. Like I mentioned to earlier callers, after looking at the cash flow requirements for the operations in the

next year or 1.5 year, we are considering the issue of share buyback.

Onkar Ghugardare: So when can you hear exactly like concretely on this front from you?

Omprakash Garg: I would say in the next 6 months, we should know the cash flow requirements, including capital expenditure.

Moderator: We take the next question from the line of Shivam Parakh from ValueWise Wealth Management Services.

Shivam Parakh: Congratulations on a good set of numbers. Sir, in a previous question, you had told that there was a price increase of 6% in natural rubber latex. But in last conference call, you had told that you had an inventory hold up of at least six months. Then why is there a sudden spurt in raw material cost this quarter?

Omprakash Garg: No. like I mentioned, all the raw material costs have been stable or downward. The only exception is Latex, that starting January this year, there have been a slight increase, 2% to 3%, which has moved up to 6% in this month, during month of May. And this is a seasonal variation depending on the rainfall timing related to the monsoons in Kerala. So we believe this is a temporary phenomenon. And after the rain starts in early June, the prices should go back to its normal direction.

Shivam Parakh: Okay. So sir, can you brief us about the current inventory hold up, which you are having?

Omprakash Garg: We only hold inventories for 2 weeks production. And as we will issue one truckload, which is 175 drums, so inventory is for about 2 weeks.

Shivam Parakh: And sir, one more question. We have seen improvement in EPS of around 80%. So do we see this improvement sustainable over the next 2 years also?

Omprakash Garg: We hope so. We are working to improve our performance on many fronts, mainly the operating efficiency and lower rejection rate in the manufacturing process. And besides that, we should have more export incentives and also the benefit of dollar rupee exchange rate. So with all these factors, and in addition, we are trying to increase our selling price talking to our major customers. So if that happens, certainly, we could maintain this year's performance going over next 2 years.

Moderator: We will take the next question from the line of Onkar Ghugardare from Shree Investments.

Onkar Ghugardare: Yes. My question was regarding the second level management, and why only we see only Mr.

Omprakash Garg on the call every time? Why the second level management doesn't come? And what's your plan on succession?

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Omprakash Garg: Well, we had in the last 3 calls, we had the Chief Operating Officer also joining me in the con call. And in terms of succession, we have a completely second and third line of management, including 10 senior managers, who are with us for more than 12 years to 15 years. So the only change would be a new CEO. And depending on the possible deals, we are discussing, there is no other succession planned.

Onkar Ghugardare: Yes. But the CEO thing has been going on for last 3 years, 4 years, right, and you haven't found any one?

Omprakash Garg: Yes. The reason is that there is no

body qualified for this particular manufacturing job, including international marketing. We have looked around. We have talked to many people. We have discussed it with our major customers. There are not many people available in this field in general. Condom manufacturing is much different than any other manufacturing. There is a serious quality issue and only an experienced person can fill the requirements, and there are only 5 or 6 factories in India.

Onkar Ghugardare: Okay. So -- but after you who would be leading this company, I mean, I just wanted to know that. If this investor deal, it doesn't go through sale of business, then what in case something happens to you, then who would be leading this company? I mean there are managers, I can understand that, but the managers can't lead or give away of growth to the company, right, since you have been doing it for so many years. There has to be some plan on this.

Omprakash Garg: No. The plan is that each of these potential investors in Cupid, they have their own plans. They will bring their own CEO, and they will bring maybe their top Chief Financial Officer. So naturally, if they decide to invest in Cupid, they must have their own management plan. So that will be the succession plan.

Onkar Ghugardare: Correct. But if this deal of selling the business doesn't go through, then what is the succession plan? And if you are saying it so confidently, then yes...

Omprakash Garg: No, if we don't find a buyer, we will continue the business, and we'll continue the improvements we have shown. You look at our last 3 years or 4 years record, we are one of the most profitable condom manufacturer in the world. So our productivity, our profitability is one of the best in the business.

Onkar Ghugardare: Sir, I am not questioning your profitability or performance, but I'm just looking, who will be the -- who will be heading this company if this doesn't go through after you since your age is...

Omprakash Garg: My plan is to continue, as long as I can.

Onkar Ghugardare: Correct. That is good to hear, sir, but I hope you are getting my question from where I'm coming through.

Omprakash Garg: Yes. Please tell me again.

Onkar Ghugardare: So I just wanted to know, yes, it is good, if you are continuing for -- even if you continue for, let's say, next 5 years, 10 years, but there has to be some strategy in place, right, god forbid

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something happens to you, there must be someone, who should be leading this company. And if this investors deal go through then there is no issue only. I mean, this is just in case if this doesn't go through?

Omprakash Garg: Yes. First of all, you have to appreciate that we have been trying to locate a CEO, but no qualified person has come through. Second of all, God forbid, if something happens to me tomorrow, there is a Chief Operating Officer, and there is a full team of top managers in each branch, including finance, maintenance, export, marketing, labour relations and Company Secretary and Compliance Officer. So the entire structure is in place. The only missing person will be CEO, with the existing top manager can fulfil on a temporary basis. But we'll continue to look for a senior management person, who can easily fill in the position of CEO.

Onkar Ghugardare: Okay. One question on the sale of the business you are talking about within the next 6 months, you can hear some concrete news on that. So even if that goes through, what kind of sale of business you are looking at, like giving them a part equity or like fully selling the business?

Omprakash Garg: No, they are interested to buy our 45% share, which we hold.

Onkar Ghugardare: You mean that would be a management change, right? You would be going out and someone else would be coming in, right?

Omprakash Garg: Yes. That is true. However, both the potential investors, they have requested me to continue with the new manage

ment also to help them go through the initial period of two years to three years.

Onkar Ghugardare: Correct. Correct. But you would be staying as the main pillar of the company or the Chairman of the company for the next two years, three years, as a guiding force to them, but whatever shares you are holding, you would be selling them to the potential investors, and they will be acquiring the full stake of your shares, right?

Omprakash Garg: Yes. There will be a full management changeover, and they will be fully controlling the management. If I do decide to join them, it will be only in an advisory capacity.

Onkar Ghugardare: Correct. So you won't be holding any stake in the company once there is sale of business or maybe a partial stake here and there, right?

Omprakash Garg: Sorry.

Onkar Ghugardare: So once you decide to sell that, you won't be holding a major chunk of the equity, right. There would be some here and there a 2%, 3% kind of stake or you would be exiting fully?

Omprakash Garg: No. Right now, the plan is to exit fully.

Onkar Ghugardare: Okay. And approximately what percentage is this, sir, if I can get that figure?

Omprakash Garg: Say that again, please?

Onkar Ghugardare: I mean, how much percentage of equity currently you are holding?

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Omprakash Garg: I said, 45%.

Onkar Ghugardare: On individual capacity or the entire management or the entire promoter you are talking about?

Omprakash Garg: No, just me and my wife. We are the main promoters.

Onkar Ghugardare: Okay. Are there any other promoters apart from you2?

Omprakash Garg: Yes. My brother has a minor stake and his wife.

Onkar Ghugardare: That would be how much?

Omprakash Garg: That is like something like only 30,000 shares only.

Onkar Ghugardare: So that would be around less than 1% might be right? 1% or 2%?

Omprakash Garg: Correct.

Onkar Ghugardare: Okay. And you and your wife, both of you are holding 45% stake, correct?

Omprakash Garg: Yes, 45%.

Onkar Ghugardare: Okay. And you both would be selling it to the potential investor?

Omprakash Garg: Yes.

Onkar Ghugardare: Okay. Got it. Hope, we hear that something from that front very soon.

Moderator: We will take the next question from the line of Saket Kapoor from Kapoor Company.

Saket Kapoor: Sir, just to continue with what the other participant was mentioning. So when you have a -- when

you had discussion with the two gentlemen or the two people, sir, they have been zeroed in money, as we come across the valuation part or -- and how will you value your company in terms of the type of sales growth that we have seen is only being observed for the last -- last two years, if I take your net sale number from INR143 crores to INR133 crores and now that leap jump in from INR132 crores to INR160 crores. So what factors are you keeping in mind in -- when you come on across the table to decide the valuation?

Omprakash Garg: Well, we are concentrating on improving the performance at the company. Now in terms of valuation, everybody has their own method and their own priorities and their own thinking. So you may be evaluating it a PE of 15 and somebody has maybe thinking of PE of 18. So it's difficult to put a final number on the evaluation.

Saket Kapoor: But for the deal to go through sir, there has to be implementation or there has to be a zero in point, where both the buyer and the seller thought has to submerge to control the transaction. So taking that into account since we have got the pillars from them, how has -- how are you evaluating your stake in the company. Given the amount of time, energy, you have spent, and as per your the thoughts and also the implementation that you are working more on the efficiency part.

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But when it comes to selling of the stake, then it all works out to how do you value your company, whether in terms of number times of sales or on the p

rofitability? Or if you could give

us some understanding how are other companies, who are concentrating only to this business of condom making are being valued globally, so that could give us some idea of what kind of valuation you can command going ahead.

Omprakash Garg: Okay. Our expectation is that it should be a minimum of INR300 per share.

Saket Kapoor: Okay, sir. So if the candidate -- if they offer you INR300 per share, you are eager to sell your stake.

Omprakash Garg: Yes. That is what our expectation is.

Saket Kapoor: Correct ?

Omprakash Garg: Correct.

Saket Kapoor: Okay. And in terms of the people, who are interested to buy your stake, they have any pedigree of this business, or they are financial investors only?

Omprakash Garg: No, we are actually looking for ideas how to get a better return on our INR100 crores savings, which are mostly in fixed deposits right now. So since we are not experts in the financial area, we are looking for suggestions and ideas from every investor, and we would welcome their comments, how Cupid can improve the it's return. Last year, we made only 6% on our savings. And people tell me that there must be a way to improve the earnings to more than that, certainly more than maybe 3%, 4%, maybe up to 10%. We would be happy to get some suggestions and improve the profit that way also for Cupid's earnings.

Saket Kapoor: Correct, sir. And sir, what is the second generation of the company? Do you have people from your family taking the second generation at the helm? You mentioned about you and your wife being the co-promoters.

Omprakash Garg: No. There is no second generation in line for the management. So either I continue for whatever period I can, or some other investor takes over the management or we are lucky to get a suitable candidate, who can be the new CEO. So these are all the possibilities, and we are open on each of them.

Saket Kapoor: I will give a small point -- yes, sir, one small point, sir. Since we -- if we take the red markings, we are a small vertical, I mean, other -- there should be other pharma companies also, who would like to add this as -- in their portfolio. So as we looked for value from other small companies, who would like to diversify your segment and get a set business in terms of Cupid being a brand, so -- and they're having two separate verticals, suppose the company is doing into formulations and into other drugs can have a vertical of condom, which is a profit-making organization. Okay. Have we looked into that aspect also selling into a -- selling into a pharma based -- pharma company instead rather than going for separate -- looking for a separate investor?

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Omprakash Garg: Yes. Definitely. We would be interested in hearing from any interested party, pharma company or any other operating entity or even some kind of funds. So please do let us know and write to us, we will be very eager to sit down with them and discuss the entire issue.

Saket Kapoor: Sir, I think that we should engage the people, who are there in the profession, who will arrange

you buyers, people in the con call, I don't think would have the pedigree because we -- I don't know, who are the missing or joining there in the call, but I think sir, you should be hiring the consultant, who have an expertise and for the lookout for buyer and seller for the transition to culminate. So that should be the understanding going back.

And sir, two questions, sir, definitely. The type of growth, which we have seen sir, for this year, what factors have led to it? It is -- is it any one-off -- one-off orders that got executed for this year that we have seen this incremental revenue or how convinced are you that this growth we can look forward for the coming year also?

Omprakash Garg: Yes. Like I said earlier, we are open for any suggestions, and we would like to welcome you or anybody, who can help us to guide in

this matter.

Saket Kapoor: Correct, sir. I was looking for an understanding of this year revenue growth, what factors have led to it? Or is it a one-off event that has led to this growth in the increased revenue? Or can we look at a continuity of the same on a top line of INR159 crores for FY '23. Can we look at growth for this year also? If you could give some colour on the same?

Omprakash Garg: Yes. We are forecasting about 8% to 10% improvement in the top line and bottom line for FY '24 assuming that the demand situation remains the same, the world economy stays stable, and there is no major increase in production cost. So in this type of operating environment, that is our target right now.

Saket Kapoor: Okay. And when we look at your segmental revenue, sir, it is divided into 3 parts, I think so the other unallocated is the interest income that you are earning. But in the -- in the vitro devices, the IVD segment, if you could explain the lower revenue and also the losses that we have posted.

So what kind of utilization capacity, utilization level do we have for the IVD segment and the outlook for the same going ahead?

Omprakash Garg: Well, like I mentioned, if we have the 2 requirements, which are WHO approval and to complete 3 years in operations in our IVD section, then we would qualify for many worldwide tenders.

And I see FY '26 target could be as high as INR100 crores from IVD alone.

Saket Kapoor: Okay, sir. Sir for future -- for future to execute INR100 crores revenue from the IVD segment?

Omprakash Garg: Yes. That is our optimistic assessment provided we achieve the 2 conditions, which I mentioned earlier, WHO approval and having completed 3 years of operating experience, which are the requirements for major international tenders.

Saket Kapoor: So where are we in the midst of these two conditions getting fulfilled?

Omprakash Garg: Sorry.

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Saket Kapoor: Sir, where are we in midst of what factors are still left that we are unable to continue it. How many years are left for 3 years continuity to happen, 3 years of being in business, what is the pending period as of now?

Omprakash Garg: Yes. It's November of 2024. We would complete 3 years.

Saket Kapoor: Okay. And for the WHO part, what are -- what is pending for them to get the approval?

Omprakash Garg: About the same time, '24 year end December approximately.

Saket Kapoor: So we completing 3 years is the precursor for WHO to give the signal, that is what you are trying to explain?

Omprakash Garg: No, both the issues are unrelated. 3 years is an actual manufacturing experience requirement, which will be completed in November '24. The approval from WHO, that is an independent requirement for which we are in the process of submitting all our documentation, qualification, our trial sample, all the specifications on our 11 product. So WHO requirement gives us recognition worldwide and then many of the major tenders, they require a WHO pre-qualification in order to allow the leaders to compete for the business.

Saket Kapoor: Correct. And this IVD is for the blood glucose monitoring and the self-explored pregnancy, these are the only two segments, which that constitutes IVD or is it the space bigger?

Omprakash Garg: No. The 4 major products, we are concentrating on, and we have the highest demands worldwide are number one, Dengue fever, number 2 malaria; number three HIV infection; and number 4 Syphilis, which is the sexually transmitted infection. So there is a high demand and relatively less competition for these 4 products.

Saket Kapoor: Thank you, sir. Just, I'll try to connect offline also, as I speak to your Advisor -- Kirin Advisors in getting such the management team with more suggestion, which I may have.

Omprakash Garg: Yes, we would welcome that.

Moderator: We take the next question from the line of Shivam Parakh from ValueWise Wealth Management Services.

Shivam Parak

h: Sir, there is a decrease in sales of lubricant water-based jelly. So what are the plans for the current year? Will it be same? Or will we see some growth coming ahead?

Omprakash Garg: No. Like I mentioned, the lubricant sales this year will be less than last year because of the quality issue, which we are having discussions with the UN FPA, but that should be fixed in 3 months to 4 months. So I would say FY '24 will be a maximum of INR10 crores sales and FY '25 will be major expansion about INR30 crores sales of lube we are expecting.

Moderator: Thank you very much, sir. Ladies and gentlemen, that was the last question. And I would now like to hand the conference back over to Mr. Yash Savla from Kirin Advisors for closing comments. Over to you, sir.

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Yash Savla: Thanks, everyone, for joining the conference call of Cupid Limited. If you have any queries, you can type to us at research@kirinadvisors.com and vastupal@kirinadvisors.com. And once more, thank you, everyone, for joining the conference.

Moderator: Thank you very much. Thank you to the members of the management. Ladies and gentlemen, on behalf of Kirin Advisors, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Omprakash Garg: Right. Thank you.

Call: Aug 2023

CTJPID LIMITED

Manufacturer & Exporter of Male Condoms, Female Condoms,
Water based Lubricants & In Vitro Diagnostics (IVD) Kits

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SDate: - 7th August,2023

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Subject: - Q1FY2024 Conference Call Transcript

Dear Sir / Madam,

With reference to captioned subject, we hereby enclose the transcript of Q1FY2024
conference call which was hosted by the company on 2nd August, 2023 at 4.00 P.M.

This is for your records.

Kindly acknowledge the receipt.

Thanking You.

For CUPID LIMITED

Saurabh V. Karmase

Company Secretary and Compliance Officer

Factory & Registered Office: CIL{ No.: 125193MH1993P1C070846II

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"Cupid Limited

Q1 FY '24 Earnings Conference Call"

August 02, 2023

MANAGEMENT : MR. OMPRAKASH GARG – MANAGING DIRECTOR,
CHAIRMAN – CUPID LIMITED

MODERATOR : MR. YASH SAVLA – KIRIN ADVISORS PRIVATE
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Cupid Limited Q1 FY '24 Earnings
Conference Call hosted by Kirin Advisors Private Limited. As a reminder, all participant lines
will be in the listen-only mode. And there will be an opportunity for you to ask questions after
the presentation concludes. Should you need assistance during the conference call, please signal
an operator by pressing star then zero on your touchtone phone. Please note that this conference

is being recorded.

I now hand the conference over to Mr. Yash Savla from Kirin Advisors Private Limited. Thank you, and over to you.

Yash Savla: Thank you. On behalf of Kirin Advisors, I welcome you all to Cupid Limited Quarter 1 FY '24 con call. From the management side we have Mr. Omprakash Garg, Managing Director Interim.

Over to you, sir.

Omprakash Garg: Thank you, Yash. Good afternoon, ladies and gentlemen. On behalf of Cupid Limited, I would like to welcome you all at the first quarter FY '24 earnings conference call today. By now, I suppose that you have had a chance to review the press release and the financial data we had circulated a couple of days ago.

So without any further delay, I would like to open the conference for a question-and-answer period, please.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from Mr. Gaurav, an Investor.

Gaurav: Sir, my first question is regarding -- sir, during the quarter ending June '23, the other expenses has increased due to payment of INR4.4 crores as damage to meet the contractual terms. Sir, what is this item? And is it a recurring kind of item or onetime damage cost is there? Please explain.

Sir, my second question is, in the prior '23, the order book of the company was INR177 crores, and now it is INR104 crores. And in the quarter, the sale is regarding INR33 crores, which means INR40 crores might be cancelled. One of the order of INR14 crores of UNFPA I have seen which is cancelled. What about the rest of the INR6 crores? Please explain, sir. Right now I have two questions, and I will ask again some follow-ups.

Omprakash Garg: Okay. First of all, the INR4.4 crores charge is a onetime payment because of the contractual obligations on behalf of Cupid. So it's not likely to be repeated.

Now about the second part of your question on the order book, yes, out of that INR177 crores, we had dispatched INR33 crores. And also INR14 crores was cancelled. So the rest of the order is being held back by the South African government. So since they have not reconfirmed that order, we are not listing that in our order book. So this is how we are achieving INR104 crores order, up-to-date order as of July 31.

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Gaurav: Okay. Okay. Sir, regarding the INR4.4 crores damage, sir, can you explain the kind of damage is occurring? Like is a kind of inventory losses or fluid material kind of -- which kind of loss is this? Actually, contractual terms means I can't understand. Can you elaborate this?

Omprakash Garg: Okay. The reason for this INR4.4 crores charge is that we had manufactured water-based lubricant jelly for UNFPA. And at the time of manufacturing, we had checked the quality and it was found to be okay. However, during transportation and storage of this material in overseas storage areas, which may take many months, the samples deteriorated. And this charge is due to the replacement cost of those damaged batches.

Gaurav: Okay. Sir, in this regard, I think company should take care of this so that these damages could not occur again. And sir, regarding the order terms, I can -- I ask one question. Like sir, India is a very good -- a very huge population is there. But our company has a -- domestic sale is very less. Like B2C sale is not at much that level. And in domestic, only 5% sale is there. Is management planning to ut

ilize Indian population advantage like to increase the company distribution network in India itself or some kind of things to increase order book?

Omprakash Garg: Yes. We have considered the possibility of Cupid increasing its domestic sales. However, the margin -- net margin on these sales is quite a bit lower than what we receive it in export profits, especially because the government of India provides an incentive for exports. So the other consideration is that in order to promote the brand locally within India, we have to spend several crores worth of advertising and promotion rupees. And we have concluded that it is better for Cupid in the short term and the long term to concentrate on the export markets where demand for condoms is very strong and it is growing.

So while the demand is growing, the number of suppliers are still restricted. So we believe that going forward over the next 5 to 10 years at least, the scope for profits is much higher in the export markets than in the domestic.

Gaurav: Okay. Sir, regarding the different segments of our company, like in the IVD segment, we was expecting to get various licenses like ISO, CE, WHO, CMD. Has company obtained all those licenses? What is the status in -- regarding this? And is IVD completely commercially operational now as IVD sale is very less and the company is also showing losses in -- I have seen in last financial report, sir. I think this segment has a very huge scope. And what company expects in future over this? And any major capex in this segment in coming 2, 3 years?

Omprakash Garg: Yes. The scope for IVD sales is quite good, very promising. The main problem is that in order

to cater to the high-volume tender and the other markets, a manufacturer has to have 3 things. Number one, they should have a 3-year manufacturing license from their respective government. And number two, a WHO certification. And number three, a CE certification, which is required for the European sale.

Now Cupid would complete 3 years of manufacturing experience in September 2024. And while we have applied for the WHO and CE certificates, it's expected to take about 1 more year. So after that, Cupid will be fully qualified to participate in all the domestic as well as international tenders.

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Gaurav: Okay. Okay. So we have to wait for 1 more year in the segment. Sir, one more question. Sir, as on FY '23, out of INR70 crores investment company has major investment in the form of corporate FD. So which kind of corporate FD it is? It is safe enough? And company has total INR100 crores in cash and investment part. Is company management any capex or buyback, dividend, etcetera, in the coming 2, 3 years?

Omprakash Garg: Yes. We have considered reviewing our dividend amount. And as you may have noticed, last year, we increased our dividend payout from INR 4 to INR 4.5 and further to INR 5 per share last year. And we are constantly reviewing the situation in terms of further increases in the dividend amount.

Gaurav: Sir, in case of capex, any capex in coming 2, 3 years, any big capex?

Omprakash Garg: As of now, we don't see any big expense, except we may make a deal to buy a part of a land located next to our factory for future expansion of the operations.

Gaurav: Okay. Okay. Sir, what about the corporate FDs? In which corporate it is implemented? Is it safe? Like I don't have exposure of corporate FD, so I was asking this question. Can you explain this?

Because the major amount of company investment is in the corporate FD. I think it is currently investment part. I think it should not be a variable part. But can you explain what kind of corporate FD it is?

Omprakash Garg: I'm sorry. Could you please repeat your question?

Gaurav: Sir, in the investment part, the company has a major amount in the form of corporate FD. So my question is, it is not the bank FD, it is something else. So in which corporate i

t is invested can

you explain, corporate FD?

Omprakash Garg: We have considered that, but we have not taken a final decision. And for now, we are continuing our investments into mutual funds as well as into FDs.

Gaurav: Okay. Okay. Which kind of FD, can you explain? The corporate FD, which kind of corporate FD? Because you have mentioned mutual funds, SBFC, Kotak. But corporate FD is not mentioned, I think. So...

Omprakash Garg: No. These are the bank FDs floated by HDFC, by Kotak Bank, by Punjab National Bank and so on.

Gaurav: Okay. So this is bank FD. Okay. Sir, one major case of the company is spending in income tax for period 2021 amounting to INR9.79 crores. Is there any progress? And where it is spending right now? Pre-tribunal, where it is? And what is status of that?

Omprakash Garg: Say that again? Plans for...

Gaurav: Sir, there is a one litigation case of company regarding income tax amounting to INR9.79 crores as on FY '23 -- 2022. I have seen this. Is there any progress in this case?

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Omprakash Garg: Yes. I'm glad to report that, that case has been settled amicably with the income tax department, and there is no more outstanding liabilities on Cupid due to income tax.

Gaurav: Okay. So company has paid any amount in this case?

Omprakash Garg: No. This was a penalty which they were asking us to pay. And on our petition, they have waived that penalty. So no money was exchanged.

Gaurav: Okay. Okay. Sir, one more question regarding your expected credit loss. Sir, as on FY 2022, the company has INR6 crores in the expected credit loss segment. Is it -- sir, the customers related to which this amount belongs, are we dealing with those customers right now? And is it onetime loss or a recurring kind of loss? Can you explain? Expected credit loss.

Omprakash Garg: Please say that again?

Gaurav: Sir, as on annual report FY 2022, there is -- the major expected credit loss is shown as INR6 crores. So the customers from which this amount belongs, are we still dealing with them? One question. And second, is it onetime loss or we are occurring again and again such kind of losses?

Omprakash Garg: Yes. No, we had one write-off from a customer who was with us for last 15 years in South Africa. And due to ill health, he closed down his business. So that was the only major setback

for us in our receivables.

Moderator: Our next participant Pranay Gandhi from Green Portfolio.

Pranay Gandhi: Sir, I just wanted to understand that there was a 20% decline in our revenue in the recent quarter compared to the previous quarter. Is there any specific reason for that?

Omprakash Garg: I'm sorry. Could you please repeat your question and speak a little louder?

Pranay Gandhi: Yes. Sorry about that. I just wanted to highlight that there was a 20% decline in revenue during the recent quarter compared to the previous quarter. Is there any specific reason for that?

Omprakash Garg: Yes. The main reason for the reduced profit in the first quarter as compared to a year ago is that we had practically no sales of high-margin female condoms. So that was the major reason. The other reason was, like the caller earlier had asked, there is a onetime charge of about INR4.4 crores, which, of course should not appear again. So because of those 2 reasons, our profit has come down from INR4.6 crores in the quarter a year ago down to about INR2.16 crores.

Pranay Gandhi: Okay. And sir, any specific reason why there has been no sales for the female condom?

Omprakash Garg: Yes. The main reason is that because of the geopolitical situation and the budget allocation by the South African government, they have cut back on their purchases. And they were supposed to reissue their purchase orders for FC back in March 2023 and they have been postponing that. And as of today even, we have not received those orders. However, we are expecting those to come -- to be declared in next 2 to 3

weeks. So that is the main reason why the profits are down.

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Now this has happened for the first time in 10 years that South Africa has not ordered any female condoms in the quarter. So it's a very unusual onetime situation. And looking at the balance of FY '24, we are expecting a robust business for female condoms to the tune of about -- INR32 crores sales we are projecting in the current financial year.

Pranay Gandhi: Okay. And apart from this INR32 crores coming from female condoms, what should we anticipate for the whole of business in general?

Omprakash Garg: The profit margin in female condom is about 50%. So we are anticipating a good amount of profit. And the total profit -- the total FC sales is expected to be about INR16 crores to INR18 crores.

Pranay Gandhi: Okay. Sir, my question was in terms of revenue, the turnover for the business apart from this INR32 crores since we are actually lagging behind on the IVD division itself, what should be our overall turnover for the business for FY '24?

Omprakash Garg: Okay. The total turnover we are expecting is about INR155 crores top line and INR32 crores to INR34 crores income after tax in March 2024.

Pranay Gandhi: Perfect. And sir, in terms of other expenses, they have nearly doubled compared to previous quarter. I understand that there was a INR4.4 crores damages that we paid. But even then, our other expenses increased from INR7.75 crores to INR15.16 crores. What were the other contributing factors?

Omprakash Garg: Okay. The 2 main causes were, number one, that the sales commission on the male condom sales to Tanzania during the quarter was just over INR2 crores on a sale of INR20 crores. This was the highest sale in any 1 quarter for any one customer. So that is the reason that because of this high sales commission this extra expenses being booked on the books.

And the other reason is that company had negotiated a long service award, meaning any employees who have or will have completed 25 years of service, they will be eligible for a payment of INR4.5 lakh. So with that, the number of people we have, about 25, it will be just over INR1 crores, which is, again, a special situation and one time charge.

And besides that, we had issued an ESOP plan for the employees and also a small increase in the labour cost, each costing about INR50 lakhs, for a total of INR1 crores.

So to summarize, INR2 crores cost is related to employees, including the long service award provision. It is a provision in the books. Payments have not yet been made. And they will be made as people retire after 25 years of service. So this is how the additional -- about INR8 crores expense is the difference between INR15 crores this quarter and about INR7.5 crores a year ago quarter.

Pranay Gandhi: Okay. And sir, I wanted to understand if you see any impact on future orders from UNFPA regarding the water-based lubricant jelly?

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Omprakash Garg: Okay. The status is that right now UNFPA is examining all the data they have collected from different countries, and they are evaluating what type of damages they have suffered. And we

have sent several samples to different labs, including a well-known lab in U.K. And the UNFPA people have scheduled a visit to Cupid in September this year, next month. And after that inspection, we hope to get these lubricant shipments going again later in the year, hopefully, in October, November.

Pranay Gandhi: Okay. And sir, since you mentioned about buying a part of land next to our current factory, could you help me with the value of the investment that would be made?

Omprakash Garg: It is about INR12 crores.

Pranay Gandhi: INR12 crores. Perfect. And sir, one final question. Do you have any update on the current status of discussion with the companies based in Singapore and the U.S.?

Omprakash Garg: Singapore project is moving ra

ther slowly. The party is still interested, but they have not quite finalized their production plans. They are still giving finishing touches to their R&D before they release the order for in-house manufacturing.

Pranay Gandhi: Okay. And sir, just one last question regarding the IVD division. Earlier, our target revenue for the current financial year was INR2.5 crores. Since we have only done INR15 lakhs and it would take us some time to get WHO certification and CE certification, what are the targets for this year from IVD division? Do you think we need to revise it? Or we would be able to reach INR2.5 crores?

Omprakash Garg: We expect the sale in the current second quarter to be about INR60 lakhs from IVD sales, and also in the third and fourth quarter as well just over INR60 lakhs each. So for the entire FY '24, we are expecting a minimum IVD sales of about INR2 crores. And these sales will be to the distributors directly in India. And I mentioned the major restrictions for larger volume of sales due to lack of 3-year manufacturing period and also lack of WHO and CE mark. So to answer your question, it will be just over INR2 crores this financial year in IVD sales.

Pranay Gandhi: And what kind of margins can we expect?

Omprakash Garg: About 20% right now.

Moderator: Our next participant is Yashwanti Khedkar, an Investor.

Yashwanti Khedkar: Sir, you mentioned that female condom sales has been impacted because of the low demand from South Africa. So are you approaching a new region where we can see some good ramp-up happening for this female condom?

Omprakash Garg: Please ask that again.

Yashwanti Khedkar: Yes. You said that in South Africa the sale of the female condom has been dampened. So are we looking at a different region so you ramp up sales for the female condom?

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Omprakash Garg: Yes, we are. First of all, like I mentioned earlier, South African sales are likely to resume later this month in August and continue till next March. But in addition, we are also expecting a new tender from Brazil to supply female condoms. We don't have the numbers yet, but it could be as high as INR25 crores to INR30 crores for Cupid.

Yashwanti Khedkar: Okay. Okay. Yes, sir, in last con call, you mentioned that we have reached over 90 countries. In this quarter, you mentioned that you have a reach of 104 RMs. Sir, which new companies have been added to our portfolio?

Omprakash Garg: Sorry?

Yashwanti Khedkar: Sir, I'll repeat my question?

Omprakash Garg: Yes, please do.

Yashwanti Khedkar: Sir, in the last con call, you mentioned that we have reached around 90 countries in the international markets. This quarter, you mentioned the number was 105 countries. So which new countries have been added to our portfolio?

Omprakash Garg: Mostly, we have added a couple of countries in Europe, and also we have added two or three countries in Africa. So yes, we are now in a total of 105 countries throughout the world, including between 35 to 40 countries on the African continent.

Yashwanti Khedkar: Okay. Okay. And can you just throw some light on your IVD business? When it will start contributing in a great extent to our revenue?

Omprakash Garg: Like I mentioned in the earlier call, we need to get WHO and CE certificates to be able to participate in large international tenders. And also, we need to complete a 3-year period in terms of manufacturing experience, which we would do next August, September 2024. So right now, we are catering to small size orders from about 80 customers within India. And we have built up this customer base all the way from Kerala to Assam and all the way up north.

So it's going slowly because of the qualifications which are needed to be eligible to participate in the large tender orders. So in spite of the slow going, in the long term, we are optimistic that IVD business would pick up and we could be looking at easily INR50

crores to INR100 crores turnover in 2 to 3 years time.

Yashwanti Khedkar: Okay, sir. Could you just provide a regional breakup of how much is America contributing, how much is South Africa contributing and how is the things happening? Which are the major countries contributing to our sales?

Omprakash Garg: Yes. In our sales data, we report the sales by country. So we'll be glad to provide more details on any specific country for any particular period. So please let us know.

Yashwanti Khedkar: Sir, you mentioned that you had seen a good demand for the male condom in America. So how was the demand over there? And how much of sales has come from the America?

Omprakash Garg: From America, you mean U.S.?

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Yashwanti Khedkar: Yes.

Omprakash Garg: Yes. In U.S., we are qualified to supply male condoms only so far, and the margins there are quite low as compared to our other markets. And we have applied -- we are in the process of applying for female condom in U.S., which is -- which may take up to one more year.

Yashwanti Khedkar: Okay. Okay. And sir, what is the margin difference between the male condom and the female condom?

Omprakash Garg: Male condom is 18% to 20% and the female condom is close to between 45% to 50%. A very high margin product this female condom.

Moderator: Our next participant is Anand Gupta, an individual investor.

Anand Gupta: If you can share updates on the promoter stake sale and also on the supplementary study that was recommended to Cupid by the U.S. FDA?

Omprakash Garg: Okay. On the first question, there is no real update on the stake sale. It is still under discussion. And about the second question, the U.S. FDA has requested Cupid to do a supplementary clinical study based in South African population with 60% blacks, 25% mixed and 15% Indian. So that is an additional requirement. We hope to get some results in 1 year's time. And once we do qualify to participate in U.S. business, the potential there is huge.

In the initial year, we expect to do a sale of about \$1 million or INR8 crores minimum, and the profit will be about half of that, INR4 crores. So we are quite excited to look for our U.S. registration, although it is taking a bit more time.

Moderator: Our next participant is Gaurav, an investor.

Gaurav: Sir, recently the Audit Committee of the company has been reconstituted twice and the Chairman is also changed. Any reason -- certain reasons there or any issues there?

Omprakash Garg: I am sorry. Could you please repeat the question?

Gaurav: Sir, the Audit Committee of our company has been reconstituted twice recently in last few -- a couple of months. And in this regard, any personal reason or any issue there regarding reconstitution of Audit Committee again and again?

Omprakash Garg: Okay. The one main reason is that the senior most Director in our company, one Mr. J. L. Sharma, was hospitalized. And I'm sorry to report that actually he died last night. He was in a hospital in U.S.A. So obviously, he could not participate in the Audit Committee meeting on July 31. So we had to reconstitute that.

Gaurav: Okay. Sorry to hear that, about that, sir. And sir, one last question. I have read in annual report -- you have mentioned therein the company has been appended with obligatory permission to enter into diamond, gold, silver business. Sir, what is this all about? Is the company seeing another segment?

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Omprakash Garg: Diamond, gold business?

Gaurav: Yes, sir, diamond, gold jewellery, silver and other allied precious products.

Omprakash Garg: I don't think there are any active plans at all to enter into this new business of gold jewellery. So maybe you are reading some older reports or there is some miscommunication there.

Gaurav: Sir, I read this report in annual year 2022. So I was asking this question. Just leave this question, sir. I have just heard i

n the conference call that you mentioned that management is discussing on selling of shares. Is promoter selling their shares? Or I have something -- a different thing?

Omprakash Garg: I have confirmed this in the last two conference calls that promoter is considering selling their stake. So I have made that public.

Moderator: Our next participant is Pranay Gandhi from Green Portfolio.

Pranay Gandhi: Sir, I just wanted to double check with you the current order book. You had previously mentioned in the call, but my network was poor. Could you just repeat that?

Omprakash Garg: Yes. So the current order book is INR104 crores. And about INR35 crores worth of orders which were allocated to us from South Africa, they have not been confirmed yet. So like I mentioned to the other caller, we have adjusted our order book down to INR104 crores as of July 31.

However, we are expecting more orders from UNFPA and also expecting more orders from Brazil and also from South Africa as the year progresses.

Pranay Gandhi: Okay. And sir, just wanted to double check our capacity for female condoms. It is 25 million pieces, right?

Omprakash Garg: It is 25 million pieces, but we could increase it to 52 million pieces by replacing the male condom capacity if we have the orders. So Next.

Moderator: Our next participant is Shivam Parakh, an investor.

Shivam Parakh: Sir, my question was regarding the buyback and special dividend, which you told that you will tell us about till September of 2023. So sir, you had an excess cash of around INR100 crores.

You promised that you'll make better use of these resources. And you only have an expansion plan of INR12 crores. And given the less working capital which we need, can we not use the excess cash for better purpose such buyback and special dividend?

Omprakash Garg: We have considered that option as well. And at the same time, we are looking at business expansion plan in terms of increasing the production capacity at Cupid for both male and female condoms. And also, we need INR30 crores to INR40 crores in terms of higher working capital requirements for the IVD business. So we are looking at all the 3 aspects in terms of the best utilization of the reserves, including a higher dividend for our shareholders.

Shivam Parakh: Okay. But sir, last quarter, you told that you will require a capital requirement of only INR5 crores to INR10 crores for the IVD business. Now you have raised the expectation to around INR35 crores to INR40 crores. So what's the reason for this?

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Omprakash Garg: No. The main reason is the new distribution business all over the world, and that would require more capital, building a sales force and appointing some agents and distributors. So this is just an estimate. As the business of IVD grows, we will accordingly follow the need for capital requirements. So this is just an estimate that I have given to you.

Shivam Parakh: Okay. But as per the previous answers which you had told to other investors, you told that the IVD business will need around 1 to 2 years to get the proper certifications. And after that, the sales will be more and we'll be eligible to apply for bigger tenders. So before that, such a huge amount of -- amount will be required for the distribution business?

Omprakash Garg: No, no, not before that. You are correct that earlier we had mentioned, and even today, that we need WHO and CE marking, which may take up to December of '24. And also at that time, we would complete the requirement of 3 years of manufacturing experience. So until our sales increase, the capital requirements will be only INR3 crores or INR4 crores. It would increase only after the sales pick up, which will be in FY '25 and '26.

Shivam Parakh: Okay. And sir, I had one more question. I'll get back again, sir. I'll get back again.

Omprakash Garg: Okay, please do.

Moderator: Our next participant is Gaurav, an Inves

tor.

Gaurav: Sir, regarding selling of promoter stake, is promoter selling their stake for the expansion of the business or some other personal reasons?

Omprakash Garg: Special?

Moderator: Sir, the -- sorry to interrupt. Mr. Gaurav, your voice is very low. Can you speak a little louder?

Gaurav: Okay. I am saying the promoters are selling their stakes. Are they selling for the expansion of the business? Or they're selling for their personal reasons? Can you explain this?

Omprakash Garg: No, it's mostly for personal business we are considering selling the promoter stake.

Gaurav: By how much percent you are expecting to sell your holdings?

Omprakash Garg: No. We own about 45%.

Gaurav: Okay. Sir, so how much percentage you are thinking to sell? I'm just asking this. By way of IPO or by preference shares? By which way you are going to sell this?

Omprakash Garg: No, it depends on the type of offer we get. We are completely open in terms of the quantities.

Gaurav: Okay. Maybe directed to the DIs or FIs as well.

Omprakash Garg: Yes, it could be. Yes.

Moderator: Our next participant is Shivam Parakh, an Investor.

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Shivam Parakh: Sir, we have paid INR4.4 crores as damages for breach of contractual terms. So I wanted to know whether insurance was taken for the same.

Omprakash Garg: There was no insurance taken on that. And we have tried to find out through our insurance agent and they say that this kind of deterioration in the sample quality is not covered by any insurance policy.

Shivam Parakh: Okay, sir. Sir, I cover one more company. That name is Avanti Feeds. In its con call, I got to

know that they had sold some shrimp feed to U.S. So there was some breach of contractual terms and there was an issue in quality.

Omprakash Garg: Hello?

Moderator: Yes, Mr. Omprakash, you can go ahead.

Omprakash Garg: Yes. Let's repeat the question. The call was interrupted.

Moderator: Yes, the participant is no more on queue. As there are no further questions from the participants, I now hand the conference over to Mr. Omprakash for his closing comments.

Omprakash Garg: Thank you. So ladies and gentlemen, on behalf of Cupid Limited, I would like to thank all of you for attending the quarter 1 FY '24 earnings conference call today. We value your support and encouragement that you have given to the management over the years. And we expect to meet all your expectations as we move forward.

Also, I would like to thank very much our customers, many of them who have been with us over 10 to 15 years, for their continued support and confidence in the quality of Cupid products. And finally, I would like to thank all the employees of Cupid Limited for working diligently to improve the workings of Cupid and to improve the bottom line of the company throughout the year. So thank you all.

Moderator: Thank you. On behalf of Kirin Advisors Private Limited, that concludes this conference. If you have any queries, you can write at vastupal@kirinadvisors.com and research@kirinadvisors.com. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2023

CUPID LIMITEI)

Manufacturer & Exporter of Male Condoms, Female Condoms,
Water based Lubricants & In Vitro Diagnostics (IVD) Kits

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SDate: - 16th November,2023

To,

Department of Corporate Sqrvices,

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Mumbai- 400 001

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II

oSubject: - Conference call Transcript

Dear Sir / Madam,

With reference to captioned subject, we hereby enclose the transcript of Q2FY2024
conference call which was hosted by the company on 9th November,2023 at 5.30 p.m.

This is for your records.

Kindly acknowledge the receiPt.

Thanking You.

For CUPID LIMITED

Saurabh V. Karmase

Company Secretary and Compliance Officer

CIN I{o.: 125193MH1993P1C070846

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"Cupid Limited Q2 FY2024

Earnings Conference Call"

November 09, 2023

ANALYST: M R. KAUSHAL SHINDE – KIRIN ADVISORS PRIVATE
LIMITED

MANAGEMENT : MR. ADITYA HALWASIYA – MANAGING DIRECTOR –
CUPID LIMITED

MR. OMPRAKASH GARG – SENIOR ADVISOR – CUPID
LIMITED

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Moderator : Ladies and gentlemen, good day, and welcome to Cupid Limited Q2 FY2024 Earnings
Conference Call hosted by Kirin Advisors. As a reminder, all participant lines will be in the
listen-only mode, and there will be an opportunity for you to ask questions after the
presentation concludes. Should you need assistance during the conference call, please signal
an operator by pressing "*" then "0" on your touchtone phone. Please note that this
conference is being recorded. I now hand the conference over to Mr. Kaushal Shinde from
Kirin Advisors Private Limited. Thank you, and over to you Sir.

Kaushal Shinde : Thank you. On behalf of Kirin Advisors, I welcome you all to Cupid Limited Q2 FY2024
con call. From the management side we have Mr. Aditya Halwasiya – Managing Director and
Mr. Omprakash Garg – Senior Advisor. Now I will hand over the call to Mr. Omprakash

Garg. Over to you, sir.

Omrakash Garg : Thank you Kaushal. Ladies and gentlemen, on behalf of Cupid Limited, we would like to welcome you all for attending the quarter two FY2024 earnings conference call today. We hope by now, you have seen the second quarter financial results we had published last night through the BSE and without any further delay we would like to open the session for question-and-answer discussions. Mr. Aditya Halwasiya, our Managing Director is also with us on this call. Thank you and let us open the conference call, please.

Moderator : Thank you. We will now begin the question-and-answer session. First question is from the line of Vaibhav Shah from Kojin Finvest. Please proceed.

Vaibhav Shah : Sir, I have few questions related to our performance and overall the current developments which are happening in the company. So first of all I wanted to understand why there was a dip in this quarter's performance, what was the major reason behind it.

Omrakash Garg : The main reason for lower sales during this quarter were lack of high margin female condom orders from South Africa and also the late reporting of testing results from their laboratory, and for the first part I would request Aditya to please cover the new businesses.

Aditya Halwasiya : Thank you sir for handing me over the call. Yes, the results have not been in line with the expectations. As Om sir mentioned, we have had a very poor sales quantity for female condoms. Going forward we want to improve our sales for female condoms by entering new markets particularly in a B2C segment we want to increase our sales force numbers over there, we have people on the ground to do so also.

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Vaibhav Shah : Om sir, my next question is to you. What is our progress on IVD kit, the testing kit. How is the progress and is it possible to start to see the production in the early next year or it will take some more time.

Omrakash Garg : All our 16 products, which have been certified by the drug controller of India are already in the market within the country in India and sales have been steadily improving, this quarter we have done about 90 lakhs worth as compared to about 20 in the previous quarter. However the major thrust for IVD kit sales would come after year, year and a half when we would complete 3 years of manufacturing requirement by the regulators as well as we would get the WHO certificate and we CE certificate for the European sales, when we receive those then only we would be able to participate in large export tenders, that business is worth 300 to 400 Crores.

Vaibhav Shah : During this quarter what was the breakup of our exports and domestic.

Omrakash Garg : Exports were 94% and domestic were the balance 6%.

Vaibhav Shah : And major contributor to the export market.

Omrakash Garg : Major contributors were sales to Tanzania and also to UNFPA United Nations Population Fund.

Vaibhav Shah : My next question is to Aditya ji. In press release filed by

the company, we have seen that you

are discussing about the expansion of Halwasiya group and so what is your vision behind the takeover of Cupid and where do you see this in next three to five years.

Aditya Halwasiya : In comparison to other Southeast Asian countries the penetration of the concept of family planning and sexual health is not as high in India versus the other countries as I mentioned in Southeast Asia. So that was the major contributor due to which we are seeing the health care sector in India evolve especially post COVID and the distribution and sales of male condoms under the several brand names we know is going to increase significantly according to us, that is why we entered this sector.

Vaibhav Shah : So how do you plan to ramp up the Cupid brand name and their facilities or what is your insight on taking the Cupid to the next level. As we can see there the business was kind of a stagnated around the turnover point of view. So how do you see this ramping up. So you will be the driving force or any more professionals will be joining the company.

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Aditya Halwasiya : This is a two pronged question, one is to do with capacity and the other is to do with employing a good sales force as I mentioned. So the first question in terms of capacity expansion, we have enough cash in our books accumulating to close to 125 Crores to triple our current capacity. We already seeing 95% capacity utilization, so we have very good reason to do so. Secondly when it comes to hiring a competent management team at a high level we have already started working with professionals with more experience than the existing professionals in our company. We will be adding many key managerial persons in the C-Suite roster and we will ensure that everything is transparent going forward within the

company.

Vaibhav Shah : So as you mentioned we are already at 95% of the utilization level and as I mentioned the turnover is stagnated. So have we identified any expansion plant it will be near the existing plant or any new locations or anything that you guys have identified and then tried to take over the Cupid or it will be going to be the activity now on. Now we will be identifying the new spaces and everything.

Aditya Halwasiya : There are many opportunities when it comes to where we can make land acquisitions. Our main concern and focus has been from the start of the acquisition to associate ourselves with thorough professionals in the field we are entering into, and when it comes to land acquisition, I think that would not be a concern.

Vaibhav Shah : And you guys going to still follow the existing model like focusing more on the exports and limited presence in India or you guys are going to expand into India more aggressively.

Aditya Halwasiya : Two parts of the question. Yes, when it comes to exports our current business will stand as it is with the new capacity additions we would like to enter into the B2C markets of international using our international connects who are already helping us participate in the tenders of these governments as Sir mentioned Tanzania, South Africa, Brazil, these key countries we will be having sales executives to help with B2C simultaneously in India we will also push towards B2C in terms of introducing a few new products along with our existing products to help increase sales.

Vaibhav Shah : So any kind of stand on B2C brand building or that you are looking at for next remainder of this half, and FY2025 and 2026 because creating a brand in a B2C will be a costly affair. So how do you see this happening?

Aditya Halwasiya : Yes, it is a very costly affair in India everyone is very price conscious. So the way we would position ourselves going forward is that we were the first company in India to introduce

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female condoms, and this is a given fact that we are the first

manufacturers of female condoms

and we will be using the base we have of several certifications as a way to enhance our sales in the B2C market in India.

Vaibhav Shah : And my last question to Om sir. Sir, you will be continuing with an advisor role for how much period or you will be leaving the company.

Omprakash Garg : No, my plan is to continue with the new management for at least three years.

Vaibhav Shah : Great sir, that is good to hear. Thank you so much.

Moderator: Next question is from the line of Mansimran from Bandhan Mutual Fund. Please proceed.

Mansimran : My question is to Aditya sir. The question is simple like do you see in future like we can give tough competition to Mankind products.

Aditya Halwasiya : The immediate competition we can give to any existing brand in India is in the line of female condoms. We have a team who is working on a very good marketing strategy to introduce our other products like lubricant jellies, like personal lubricant jellies like male condoms and we will be packaging these products together and selling it in the Indian market.

Mansimran : So, like in the market it will be visible right, the brand will be visible.

Aditya Halwasiya : Yes, we will try to make sure it is visible in as many shop as possible that is the best point of sale for any condom in India.

Mansimran : Okay, thank you.

Moderator : Thank you. Next question is from the line of Vaibhav Badjatya from Honesty and Integrity Investments. Please go ahead.

Vaibhav Badjatya : Hi sir, thanks for providing the opportunity. Earlier you said that you will be doing B2C. So your B2C focus will be only on female condom or you will be doing male condom as well in India particularly.

Aditya Halwasiya : It will be for both.

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Vaibhav Badjatya : So, earlier historically whenever we have analyzed and questioned Mr. Garg on this there has been a consensus from Mr. Garg that the margins are not good enough and profits are not good enough and that is why we do not want to go down that path, but now there is a change of thinking. So I just want to know that what are the views which can bridge the earlier thinking of the organization to now change thinking of the organization that we want to change track and now start investing in B2C both male and female condom because earlier it was very clear from Mr. Garg that we do not want to do that because of low margins and returns are not good enough.

Aditya Halwasiya : Yes, so the earlier commentary by Mr. Garg has been in line with his efforts. His efforts are

to make Cupid a global brand, a global brand can be made in any way possible either you do B2B or B2C keeping that in mind he has found the part to least resistance for the growth of the company we have been able to achieve. So for further growth we will always concentrate on B2B, but as I mentioned the under penetration of sexual health and wellness in India has to be pushed forward at a very good speed because post COVID we are seeing very good numbers of growth and we would always want to have a brand, Cupid brand available to the Indian consumer that will bring about a lot of value for Cupid as a company and this is something I believe any brand would like to achieve have a market presence in the ever growing growth story of India.

Vaibhav Badjatya : So basically building a brand is obviously a long-term affairs and most of the brand end up burning money in near-term. So would that be case with us as well because obviously there will be lot of investment required in distribution, advertising, marketing. So should we expect that there will be the short-term pressures will be there from building this business obviously longer-term we will benefit from building the brand, but in short to medium-term there will be pressures from building this business.

Aditya Halwasiya : When it comes to building any business in India distribution is key a

nd the way to get

distribution in India is having people who have had significant experience in creating distribution lines. So we believe strongly the current individuals we have hired in the company are testament to the fact that they have built great brands and great distribution lines.

Vaibhav Badjatya : And you also talked about launching some newer products apart from the existing product. So, any thoughts on what could be these new products.

Aditya Halwasiya : These new products will only be used to bundle our existing products and have a better value proposition at the point of sale for existing customers for basically customers who are going
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to the shop and asking for the different varieties of condoms available. People in India like a good proposition to buy any consumable. So we want to just introduce these extra products as a good value proposition for the end customer.

Vaibhav Badjatya : Got it. Yes, understand that is it from my side. Thank you.

Moderator : Thank you. Next question is from the line of Deekshant from DB Wealth. Please go ahead.

Deekshant : Hi team, hi Aditya, question for you. Firstly congratulations on the acquisition of Cupid. The first question is basically on our new business that we are going to be starting in the direct to consumer space. Currently we have a 96% distribution is there any thought process of how much of the new business we want to take in retail terms both India and International.

Aditya Halwasiya : In terms of contribution going forward we do not want to try and blitz the market in any way shape or form because it costs a lot of money to do so. We will like to have a very good number of receivables, good quality receivables going forward in any business opportunity we take, undertake whether it is B2C or B2B. So going forward I hope that we are able to showcase better results definitely, it will definitely better than what you are seeing right now, but when I say better I expect at least a 2x growth from there the coming three years.

Deekshant : So the reason I am asking this question is because our cash conversion cycle is around 6 months in the B2B business, and I am sure that the thought process is also that going forward in the next couple of years in the direct FMCG business of direct to consumer our cash conversation will go better, our margins will be better. So that is the goal I am assuming, please help me learn this better, but what is the idea of how much percentage of our revenue should be coming from B2B and how much should be coming from B2C even if some rough numbers would be helpful.

Aditya Halwasiya : Right now we have to start selling, my apologies we cannot give a forward guidance on this particular number, but I can give a very clear guidance on our receivables we met on a more timely basis going forward because we are working thoroughly on our contracts in B2B.

Deekshant : Got it. So, what is the first goal would be to go and capture the market or would it be more to expand our market in out of India for the direct to consumer segment.

Aditya Halwasiya : Direct to consumer segment out of India we will be making sure the existing channel partners are able to sell with good credit terms. When it comes to direct to consumer in India we are
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only going to be concerned about markets where there is a very good opportunity to bring about topline contribution.

Deekshant : A couple of other brands like PEESAFE have also gotten into the female contraceptive market and the female condom market and clearly there is a good sort of market opportunity for us. Is there any specific, what was the one thing that was the go-getter for you to acquire Cupid,

is there any specific one thing in the market opportunity that you were seeing.

Aditya Halwasiya : The market opportunity I think is simply speaking the growth story of India

and when it

comes to us as a business we have been in business for the last 60 years as a Family Group Company, the business we are in is close to maturing, and we feel that the sexual wellness and health and family planning business in India is at its infancy stage still.

Deekshant : Got it. Last question, right now our open offer is in the market and it is right around 26%, but the price for this is at 325 bucks and our current market is more than 2x of this. So one how much have we already been able to acquire in the last couple of days of the open offer and two like what if we are not able to acquire the whole subscription of 26%.

Aditya Halwasiya : The open offer is still not open.

Deekshant : 6th November right.

Aditya Halwasiya : It is still to open.

Deekshant : It is still to open.

Aditya Halwasiya : Yes.

Deekshant : In the filing it was written that it would be opened on 6th of November correct.

Aditya Halwasiya : Contingent on getting clearances which we expect to get in the coming week for sure.

Deekshant : Okay, so would we be revising the price because it is like literally at 50% of the market price right now.

Aditya Halwasiya : We are not looking to revise the price on the open offer.

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Deekshant : So, if you would not be rising the price on the open offer and the current price is at 2x. Do you think we will be able to get the open offer subscription.

Aditya Halwasiya : Well when the open offer was triggered price that time was close to Rs.350. So from that price level it has gone up, it could have also gone down we would have to maintain Rs.325 either case.

Deekshant : Got it. So has the family thought that in future we would be acquiring more stake.

Aditya Halwasiya : We would first like to work on the business at hand, yes, acquiring more stake reduces the number of shares in the market, getting the market price, but that is a very unnatural way of looking at growth.

Deekshant : One follow-up question here on our consumer business. Around 120-140 Crores of cash that we are having, the idea is in the start of the call you portrait that we would be using this cash to expand our facilities. On the marketing side and hiring new people on the new sort of human CapEx that we would be doing, do we plan to raise any money from the markets or take any borrowings or will there be any more cash infusion.

Aditya Halwasiya : As of today the cash we have in our books is sufficient to 3x are existing capacity if you factor in land acquisition and plant and machinery as well as human CapEx, we do not need outside funding, yes.

Deekshant : Perfect. Congratulations Aditya again. Thank you so much for the answers.

Moderator : Thank you. Next question is from the line of Pranay Gandhi from Green Portfolio. Please proceed.

Pranay Gandhi : Hi, good evening everyone. My first set of questions I would want to direct it to Mr. Aditya.

So since you have already shared the motivation behind the acquisition and the vision moving forward, I would want to know if there are any synergies that can be anticipated from the acquisition to enhance the business in terms of cost or raw material.

Aditya Halwasiya : When it comes to synergies it would be more to do with doubling down our efforts to improve SOPs in place because we come from a manufacturing background.

Pranay Gandhi : And my next question would be in regards to the capacity expansion that you were referring to earlier with the amount of cash we have 125 Crores as you mentioned that it is enough to

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triple the capacity. With the current utilization of 95 Crores are you looking to do that in near future, I mean, at what stage this is planning and how much time would it take for it to reach the final stage.

Aditya Halwasiya : We expect our capacity expansion plans to materialize within 16 to 24 months.

Pranay Gandhi : And are you planning to launch it anytime soon.

Aditya Halwasiya : Launch what, could you please repeat.

Pranay Gandhi : I mean, commence the capacity expansion.

Aditya Halwasiya : We will be having as of today we have seven dipping lines and beyond seven dipping lines

we have the machinery required to make the final product those the same capacity expansion if you just look at doubling down with the current capacity we will be introducing seven more dipping lines going forward it will be a seamless process because we already have a blueprint of our own existing facility.

Pranay Gandhi : Perfect, thank you so much Mr. Aditya. For next set of questions if Mr. Garg, you can answer that. I just want some clarity on this that for the IVD division getting the WHO approval had couple of prerequisite in terms of having three years of manufacturing license and 12 to 16 months of getting that CE certification. So I just want to know what is the time period when we can anticipate this to be in our hand.

Omrakash Garg : I think the clearance from WHO and for the CE marking would take from additional 12 to 16 months. Once we get those permissions by that time we would also have completed a three years of manufacturing experience which is again one of the other major requirements of the export tenders, high value export tenders. So I would say from FY2026 onwards we would be fully equipped to cater to the large scale export tenders.

Pranay Gandhi : Thank you so much Mr. Garg and I would just want a clarity on the status of the discussion that we were having with the companies in Singapore and US for manufacturing of their patented products. What is the progress on that.

Omrakash Garg : The progress with the US company is going relatively well, we are still in discussion at the technical level and exchange of information in terms of our manufacturing capacity and capabilities and their marketing requirements however the negotiations with the Singapore

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party has slowed down because they have been able to locate another manufacturing source that is what we have learned recently.

Pranay Gandhi : And what would be the order size with the US based company.

Omrakash Garg : It is too early to estimate that.

Pranay Gandhi : Not a problem. Thank you so much, sir.

Moderator : Thank you. Next question is from the line of Onkar Ghugardare from Shree Investments. Please proceed.

Onkar Ghugardare : First of all I wanted to ask Mr. Aditya that what would be the four, five immediate things you would be doing to make the company again on a growth path and what are the four, five long-term things you will be doing in the company.

Aditya Halwasiya : When it comes to the few things we are doing right now, first we have taken stock of the inventory of the company we have taken stock of the processes in the company, we are ensuring that the ERP systems in place are sufficient going forward to cater to the demands on it for the input of data flow should be with everybody at every point of time. The contracts which we are working with for exports those contractual terms are improving going forward our aging debtors has improved significantly simultaneously we are working on B2C in India as well as B2C abroad we are working with existing contracts in our tendering business to increase our B2C presence as much as we can in South American countries as well as South Africa as a country and in the b2C space in India we are all going to be, we are working on launching a new packaging for our product new bundlings are being worked on and in the future I would say that the more capacity we have we will ensure that distribution lines are set to cater to the flow of end product we get out of the capacity expansion.

Onkar Ghugardare : So, if you want to just talk about the vision of yourself about the company where you want to see the company in say next three to five years in terms of

sales, in terms of profitability,

in terms of market share, in terms of cash flow, etc.

Aditya Halwasiya : In terms of all these things I would say simply speaking we want to be looked upon as a high growth company, we look to get 15% to 20% year-on-year increase in sales post the start of these expansion projects, we expect to start expanding by quarter one of FY2025 we will be seeing in quarter two of FY2025 we will start participating in tendering of IVD test kits also

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on a B2B level because by then we gain three years of manufacturing experience. So there is a lot of topline addition ahead honestly what we see.

Onkar Ghugardare : And what would that translate into the bottom line then, what kind of thinking you have on that front then, if you are talking high growth company.

Aditya Halwasiya : On that front we have EBITDA margins today at 12% to 13% for male condoms and for female condoms it is 31% to 32% currently at most on these EBITDA levels we will be seeing changes of 3% to 5% going forwards once we start expansion by doubling our top line in the coming years.

Onkar Ghugardare : So 4% to 5% margin expansion on each category or as a combined.

Aditya Halwasiya : As a combined we will be seeing since we will be adding scale, we will be seeing a 4% to 5% margin expansion mostly on the female condom end and less than half of it on the male condom end.

Onkar Ghugardare : I was asking whether right now you have EBITDA margins of around 15% for at least this quarter. So from next financial year we would be targeting around 20% kind of EBITDA margin at a company level.

Aditya Halwasiya : At a company level the EBITDA margin will be in much more pleasing to all of us. Going forward because this year as you can see the other expenses are bloated that is primarily due to the charges even UNFPA we have to pass on charges to UNFPA for contractual nonperformance because our quality of product which we shipped in transit for the personal lubricants deteriorated during the shipment transit and after on receiving the shipment UNFPA cancelled that contract for that particular order and we have to pay penalties accordingly. So our other expenses have bloated because of that. So going forward this is a onetime expense another expense due to which our margins will be higher than 20% on the EBITDA level.

Onkar Ghugardare : This is from the start of new financial year you are say right.

Aditya Halwasiya : From start of new financial year we will be seeing significant improvements, yes, and by the end of financial year we expect to end the financial year with a top line of close to 140 Crores.

Onkar Ghugardare : So from that level is it safe to assume that you will be doubling your revenues in next 3 to 4 years and similar will be the trajectory for the bottom line.

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Aditya Halwasiya : Yes, you can use FY2024 as a baseline.

Onkar Ghugardare : And from that you would be targeting around doubling of revenue and doubling of profitability right in next three to four years.

Aditya Halwasiya : Yes sir, we will be looking towards that.

Onkar Ghugardare : One more thing I just wanted to ask now you have 125 Crores of cash you have already told that it would be sufficient for you to triple your capacity, but apart from you obviously you would not be tripling the capacity immediately so what would be the utilization of cash say like on four five things you will be looking at to use this cash apart from capacity expansion.

Aditya Halwasiya : The immediate utilization of cash right now is to set up our sales force, domestic sales force which is already ongoing for the B2C India sales team, and we are headed by a very competent individual for it and we have already started working on the packing end, the bundling end, and we will start sales. We have already started with sales if I am not wrong on th

e B2C front with this new vision in mind.

Onkar Ghugardare : Apart from sales adding sales force what else you are looking at for utilization of cash.

Aditya Halwasiya : For utilization of funds you will be first buying a parcel of land, which will be sufficient to minimum have seven dipping line capacity installation. We would like to easily have a requirement going forward or, not requirement a capacity going forward of more than 1 billion units of male condoms and more than 100 million units of female condoms per annum.

Onkar Ghugardare : Apart from capacity expansion and addition of sales force are you looking at anything else.

Aditya Halwasiya : These are two key ingredients for us to increase our capacity and also in addition to this I already mentioned we are working on other cost saving factors like looking at improving our contractual terms improving our cost saving bases within the company and relooking into the SOPs of the company and trying to bring about more efficiencies within those SOPs with the help of a manufacturing background.

Onkar Ghugardare : So much of going on earlier there used to be a talks of buybacks and all that, that is I guess out of question now, but what would be the distribution of cash to the shareholders, what would be the policy on that front of the new management.

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Aditya Halwasiya : As of this year we have only paid out dividend once we would want to have we want to continue over the last three, four years which I recall it was Rs.4.5 to Rs.6 worth of dividends per share on face value of Rs.10 which were paid out to shareholders we would like to continue with a dividend payout definitely in the coming years it will be slightly less than what the shareholders have seen over the last 3 to 4 years because we will be doubling our efforts to increase the capacity which the company has had a very good opportunity to do and will do under the new management and with the help Om Sir, guiding us.

Onkar Ghugardare : If I can be a little more specific to the capacity expansion thing, how much capacity you would be adding and what kind of funds you require for that and what would be the

commencement here for that particular capacity you are looking.

Aditya Halwasiya : As of now Om sir, could you please answer this question, sir.

Omprakash Garg : Yes, I think we would require approximately 50 to 60 Crores to add seven more lines which would give us a total capacity of close to billion condoms and the time period will be approximately 2 years.

Onkar Ghugardare : So currently from what level it will be a billion and what about the addition of capacity for female condoms from what level to what level it will be.

Omprakash Garg : Currently we have 50 million capacity for female condoms and we could easily double that because the same machines which are used to manufacture male condoms can be easily converted to make female condoms our real challenge is to generate more orders and popularize the use of female condoms which would be a big challenge, but in terms of capacity for female condoms if need be we could ramp it up to easily 100 million pieces of female condoms.

Onkar Ghugardare : And what about male condoms from what level to what level it will be.

Omprakash Garg : It will be 480 to over 900 million.

Onkar Ghugardare : So doubling of capacity on both fronts female and male condoms right.

Omprakash Garg : Correct.

Onkar Ghugardare : And what could be the asset turn for that.

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Omprakash Garg : I am sorry.

Onkar Ghugardare : Asset turnover Aditya, if you can answer that question on that 50-60 Crores, which you will be putting in.

Aditya Halwasiya : Sure. So as of today as you know we have seven dipping lines, each dipping line has a capacity of 70 million units and the 480 million capacity we have the yields close to 150 Crores of revenue. Going

forward we expect it to double and we need to have a very strong distribution set up for the increased capacity to be sold to end customers. We are working on it.

Onkar Ghugardare : So that means if you are putting in 50 Crores, if you are incrementally looking at adding 150 Crores on that. So that would be around 3x asset turn right you are expecting.

Aditya Halwasiya : If you look at a simply speaking 15% increase year-on-year on the top line, bottom line margins will expand based on the scale we are able to generate at the end of the capacity expansion plan so on a 15% basis without talking about bottom line we can see in the matter of five years and easy double just on 15% and we have targets of higher.

Onkar Ghugardare : So you just now mentioned that you would be looking around doubling in three to four years right.

Aditya Halwasiya : Yes, I am taking the base case, not even the base case, the lower than base case scenario which we are looking at right now.

Onkar Ghugardare : So that is the bare minimum you are looking at doubling of revenues in 3 to 4 years from FY2024.

Aditya Halwasiya : Yes.

Onkar Ghugardare : And with obviously higher EBITDA margins of more than 20%, which you mentioned just now.

Aditya Halwasiya : Yes, once we finish our expansion plans that is important to note.

Onkar Ghugardare : So, that would be after two years right you are saying.

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Aditya Halwasiya : By third year we should be able to easily have a good sales order for the extra capacity we install all the extra capacity installed we expect to install seven minimum by two years.

Onkar Ghugardare : So, if you look at around 300 Crores of ballpark revenue in next 3 to 4 years where US FDA sales stand in this equation.

Aditya Halwasiya : Coming to USA, Om sir, if you could please throw light on this.

Omprakash Garg : Well the bottom line we will be expecting more than 60 Crores in profit after tax based on the 300 Crores turnover number.

Onkar Ghugardare : Okay that is fine. What I was asking was you are trying for US FDA approval to get into the US for the female condom, right.

Aditya Halwasiya : Yes, for the female condom we are going to be getting into the market for the female condoms. As of today we sell Maxima brand in Tanzania in Africa or our female condoms we will be selling the same brand at a more than double price in the US because that is the going rate per unit in the US for female condoms after we get the US FDA approval.

Omprakash Garg : Now if I may add we are still in discussion with US FDA and they have asked us to modify

the clinical study which we are currently doing at a research center in South Africa and assuming we get the US FDA approval in 12 to 15 months we could expect to increase our female condom sales in America and as you know there is only one qualified manufacturer who has complete monopoly for sale of female condoms in US. So our efforts are to try to get the US FDA approval as soon as possible.

Onkar Ghugardare : But the modification of clinical study thing was going on for last 6 to 8 months. So any progress on that front and if Aditya you would be engaging with this process and if this 300 Crores includes the sales from USA once you get the US FDA approval or this is excluding that you are talking about.

Aditya Halwasiya : This is excluding that because we are only be looking at existing sales line and increasing sales lines in India and through channel partners abroad. This will be based obviously as a very big opportunity which as mentioned by Om sir, we are finishing with the clinical trials and within one and a half years more.

Onkar Ghugardare : So more one and a half years for clinical study you would require is that correct.

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Omprakash Garg : No, one year more to complete the clinical studies at the end of 2024 and then six additional months after

that for setting up the distribution channel and our marketing strategy all over the US.

Onkar Ghugardare : So basically what is the process once you finish the clinical study what are the steps you have to follow.

Omprakash Garg : We have to submit the clinical study report along with some additional manufacturing data from existing Cupid operations to the US FDA for their evaluation and discussion and then their technical panel then would review all this data and hopefully recommend that Cupid be qualified. So all that process we are estimating about 6 months.

Onkar Ghugardare : So before FY2026 you are not looking for any kind of sales or any approval from US FDA right.

Omprakash Garg : Yes, beginning of 2026.

Onkar Ghugardare : So anything if there is from US female condom front that would be from 2026 onwards only right and this is not included in the 300 Crores target which you are talking about right.

Omprakash Garg : Correct.

Onkar Ghugardare : With all that just wanted to ask what kind of ROC and ROE targets you have for the company.

Aditya Halwasiya : If you see at the end of two years the capacity expansion is expected to cost as 50 to 60 Crores and if our EBITDA margins are let us say this 20% going forward we easily see a ROC higher than that once we are able to push hard with the sales numbers going forward.

Onkar Ghugardare : Sorry I missed the point what level you mentioned for ROC.

Aditya Halwasiya : 50% to 60% if we employ as capital going forward we will be able to at least get 20% ROC.

Onkar Ghugardare : So 20% ROC you are looking at.

Aditya Halwasiya : Yes, because the margin of the product are quite high.

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Onkar Ghugardare : And this is you are talking only after two years, but what about this next two years, what you would be thinking, I mean, what is the strategy for this next two years before the capacity expansion actually starts what are your targets.

Aditya Halwasiya : Capacity expansion which is going to start right now it is going to start in a very staggered manner we do not want to set up if we want in a matter of one year we can set up seven dipping lines going forward, but that will have a very big impact on the ROC we are reviewing the impacts on ROC as we speak and we are only concerned right now of creating sales turnover going forward.

Onkar Ghugardare : Because you mentioned that this year turnover you are expecting around 140 Crores which will be again kind of similar level to the last H2. So that is why I am asking.

Aditya Halwasiya : Yes.

Onkar Ghugardare : So whatever growth you are expecting, you are expecting after FY2024 only right maybe from FY2025.

Aditya Halwasiya : Not only we are expecting growth after FY2024 we are expecting to streamline the processes within the company which there are very few to streamline in the first place and get our sales figures back in line for the H2.

Onkar Ghugardare : For H2 right.

Aditya Halwasiya : Yes for H2 we will get our sales figures back in line with the previous FY2023 numbers.

Onkar Ghugardare : Another thing which you mentioned in the press release is that you would be looking to increase your order pipeline. So, if we look at the current order book it is around 77 Crores

and if you calculate last quarter it was around 104 Crores I guess and this year this quarter sale were around 34 Crores. So, if you calculate that around at least approximately 6 to 7 Crores worth of only orders were added so what kind of targets you have for the upcoming quarters and years.

Omprakash Garg : We are expecting some major orders from South Africa and UNFPA in next two months.

Onkar Ghugardare : And this is for female or male you are expecting.

Omprakash Garg : 80% male condoms, and hopefully 20% female condoms.

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Onkar Ghugardare : This is Africa and UNFPA you mentioned right.

Omprakash Garg : Yes p

lease.

Onkar Ghugardare : And what about the Brazilian thing then.

Omprakash Garg : Brazilian tender is also supposed to be published at the end of December and we are expecting a reasonably good volume of order for female condoms from there.

Onkar Ghugardare : Aditya if can answer this question say looking-forward next three to four years what kind of contribution you are expecting from male and female category at least what would you aspire.

Aditya Halwasiya : What I aspire when it comes to this contribution going forward would be to stay in line with the FY2023 numbers 75% of our sales came from male condoms and something like 19% came from female condoms and rest came from IVD test kits and personal lubricant jellies for the next till the expansion plan has been completed and then we start selling, I will test if I expect the contribution to stay at the same of close to 20% female condoms.

Onkar Ghugardare : So you are not expecting to increase the sales from female condoms that it is EBITDA accretive as compared to male condoms right.

Aditya Halwasiya : See we will be increasing our capacity so base which we are using will also increase simultaneously, but the contribution for now till the expansion is finished will stay the same.

Onkar Ghugardare : And expansion of finishing what you are saying is that like 100% capacity utilization you are saying or like the commencement of the expansion you are saying after 2 years.

Aditya Halwasiya : No, when I say expansion finishing I mean to say the last dipping line being installed that is the 14 dipping line of the company.

Onkar Ghugardare : That would be completed after two years right.

Aditya Halwasiya : Yes, approximately two years.

Onkar Ghugardare : And starting it would be like commencing of first, second, third, fourth line that would take how much time.

Aditya Halwasiya : That would be done immediately it would be done within 6 to 8 months.

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Onkar Ghugardare : But is it possible to acquire land and put in all the machinery and all that stuff if required.

Aditya Halwasiya : Post acquiring land, post setting up the factory shed, it will take 6 to 8 months.

Onkar Ghugardare : And how much time you are expecting for the land parcel, acquisition and all the regulatory approvals for that.

Aditya Halwasiya : We will be completing it before December end.

Onkar Ghugardare : Okay before December end you are completing.

Aditya Halwasiya : That is what we expect to complete before December end.

Onkar Ghugardare : Okay all right that is it for right now. Thank you very much.

Moderator : Thank you. Ladies and gentlemen, we will take this as the last question for the day. I now hand the conference over to the management for the closing comments.

Aditya Halwasiya : Thank you everybody for joining. It was a very eventful Q4 FY2024 for us because we have started having very fruitful lines of discussion as the new management of the company with the existing employees of the company. We are very happy with the feedback we are getting from them and the reassurance from them that they want to double down their efforts and work for Cupid along with us we executed as a great company with many good outlook for it ahead.

Moderator : Thank you. On behalf of Kirin Advisors that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Jan 2024

CUPID LIMITED Manufacturer & Exporter of Male Condoms, Female Condom:s,
Water based Lubricants & In Vitro Diagnostics (IVD) Kits

§ Date: - 30t January, 2024

To,

§b Department of Corporate Services, The National Stock Exchange of India Ltd.

BSE LIMITED, Exchange Plaza, 5t Floor, Bandra-Kurla

g Phiroze Jeejeebhoy Towers, Complex, Bandra (East),

§ Dalal Street, Mumbai - 400051

Mumbai — 400 001 Fax No. - 6641 8125/ 26

§ SCRIP CODE: 530843 SCRIP CODE: CUPID

h Subject: - Conference call Transcript

% Dear Sir / Madam,

g With reference to captioned subject, we hereby enclose the transcript of Q3FY2024

§ conference call which was hosted by the company on 25" January, 2024 at 4.30 p.m.

This is for your records.

Kindly acknowledge the receipt.

Thanking You.

For CUPID LIMITED

Saurabh V. Karmase

Company Secretary and Compliance Officer

5 CIN No.: L25193MH1993PLC070846

Factory & Registered Office: —

A-68, M.I.D.C. (Malegaon), Sinnar, 48y +91 2551 230280/ 230772 www.cupidlimited.com

Nashik - 422113, Maharashtra, India @G +91 7722009580 info@cupidlimited.com

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Q3 FY24 Earnings Conference Call

January 25, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY24 conference call of Cupid Limited.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Omprakash Garg from Cupid Limited. Thank you and over to you, sir.

Omprakash Garg: Thank you. Ladies and gentlemen, on behalf of Cupid Limited, I would like to welcome you all for attending the Q3 FY24 Earnings Conference Call today. By now, I assume that most of you have seen the "Financial Results" along with the "Press Release" we had published yesterday. I will go over a couple of highlights from the 3rd Quarter Results.

The revenue from the operation was about Rs. 40 Cr which was 16% higher than the second quarter of FY24. And in terms of the net profit after tax, we were 73% higher as compared to the second quarter. The one main point to note here is that the sale of female condoms were only Rs. 1 Cr during the 3rd Quarter because of the major breakdown in the laboratory apparatus back in South Africa, resulting in delays, significant delays in the export of female condoms. And because of that, we had to stock piling that material at our factory in Nasik. The net result of that was that our inventory level as of December 31st had gone up to 23 Cr.

Now looking at the 4th Quarter:

We are projecting a topline of between Rs. 50 and 55 Cr and female condom sales are expected to be approximately Rs. 21 Cr. Now, in terms of the exports, 89% of our sales were exported during the 3rd Quarter and only 11% were in the domestic market which included both the B2C sales as well as the sales of the IVD kits. And you may have noticed that in the press release, we had made three other announcements on three major decisions relating to number one, bonus share issue, number two, share split of 10 to 1 and the third is issuance of nonconvertible shares to FIIs raising approximately Rs. 385 Cr.

So without further delay, I would like to now open the conference call for the Q&A session.

Page 2 of 14 Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Onkar Ghugardare from Shree Investment. Please go ahead.

Onkar Ghugardare: My question is regarding the warrants which you have issued to the FIIs around Rs. 385 crores. As you have already highlighted that you don't need any money outside, whatever money which is there in the balance sheet is sufficient for expansion of the new facility. So would like

to know exactly what's the purpose of raising this Rs. 385 crores. I mean you would be saying

that for future need and all that but I would like to know the exact reason for this. Any acquisition you are planning or anything else?

Aditya Halwasiya: We are looking at using a very small portion of these funds for working capital requirements. That is something I can definitely mention but other than that we're looking for a strategic acquisition outside India also, if not in India. And we'll be earmarking these funds for that purpose.

Onkar Ghugardare: So, this acquisition is related to the business which you are currently doing in terms of condoms or IVD or anything else apart from this you are targeting?

Aditya Halwasiya: Condoms and IVDs.

Onkar Ghugardare: Okay, includes both, right?

Aditya Halwasiya: Condoms and or IVDs, yes.

Onkar Ghugardare: Okay, when can we hear about this? I mean, any specific timeline you would be able to give for this acquisition?

Aditya Halwasiya: Well, we have to make sure we use the funds for what is the purpose for which we are raising them. We have clearly defined the purpose and we also have an oversight body making sure that we use the funds for what we say we are using the funds for.

Onkar Ghugardare: Yes, so the purpose of the fund raise is for the acquisition, right? Mostly for the acquisition, so that's what I'm asking.

Aditya Halwasiya: Yes, I can't give you anything other than that. We are making sure that we will use these funds for an acquisition. I can't mention which company.

Onkar Ghugardare: I'm not asking for any company. I'm asking just what would be the timeline for this?

Omprakash Garg: Or a timeline, but all our preferential issuances, the funds which we are supposed to get will be received within 18 months.

Onkar Ghugardare: Okay, so maybe we can expect something in maybe a year or two, right?

Page 3 of 14 Aditya Halwasiya: Yes, we are working towards that.

Onkar Ghugardare: Okay, and if you could, I know you won't be giving more about this, but what size of acquisition this could be, like how large it could be, what kind of opportunities it will open up because of this?

Aditya Halwasiya: The opportunity something an acquisition like this will open up is, it will increase our product line within the condom segment. Simultaneously it will give us some faster approvals for our IVD segment and because the target company has all those approvals and apart from this I can't share anything else.

Onkar Ghugardare: Okay, more product you mentioned, what exactly more products? If you can talk about it, in terms of condoms.

Aditya Halwasiya: In terms of a condom market, apart from that there is latex condom, there is a polyisoprene condom and there is a polyurethane condom. These are the three products which are there in the condom market.

Onkar Ghugardare: And currently you are not present in any of them?

Aditya Halwasiya: We are only present in manufacturing latex condoms.

Onkar Ghugardare: So with this acquisition you would be adding two more types of condoms in your kitty?

Aditya Halwasiya: Hopefully yes.

Onkar Ghugardare: Just wanted to ask another question, is that, you have issued ESOPs to the employees. May I know, these are to what, second tier or 3rd Tier of the employee or like to the promoters or like what kind of ESOPs are these and why the issue price is at 240 when the current market price is at 1750, 1800 and you have issued warrants to the FIIs at around 1750?

Aditya Halwasiya: So the issuance of ESOP, the board meeting took place in August of 2022. At that time, the board who issued the ESOP, which Mr. Om Garg was a part of, decided an exercise price of Rs. 140 and post that we don't want to change the ESOP in any way shape or form because there's been no material change in the company on the day-to-day functioning. So we have gone forward with the issuance and we have been able to also get an a

greement from the existing

people we've issued the warrants to that they'll be letting go of 50% of the issuance and we'll be redistributing them to more employees within the company.

Onkar Ghugardare: Okay, so this is to the first level management, second level management, what you can give color on that?

Aditya Halwasiya: Key managerial personnel. This includes no promoters.

Page 4 of 14 Onkar Ghugardare: Okay, it doesn't include any promoters?

Aditya Halwasiya: Yes.

Onkar Ghugardare: Okay, just wanted a broad view on this, like say when you acquired the company, the total market cap of the company was around between Rs. 300 crores to Rs. 400 crores, right?

Aditya Halwasiya: Yes.

Onkar Ghugardare: So now you are issuing shares worth around Rs. 400 crores. So what gives you the confidence to issue like Rs. 385 crores to Rs. 400 crores when the market cap of the company was around, let's say 6 months back or 6 months to 8 months back was the total 100% of that issuance?

Aditya Halwasiya: Well, we have doubled on our efforts on focusing on selling female condoms to other geographies other than the geographies we are selling to. We have started with a B2C presence

in all the distribution channels in India. Simultaneously, we have brought about the idea of acquisition out of India also to our prospective investors who are going to be participating in the preferential share issue. And we have shared projections to make sure that they are in sync with our ideology to why they should participate in this differential issue. So we are making many strives and jumps to make sure that we are able to garner sales and forward looking numbers going forward to the best of our efforts.

Onkar Ghugardare: So these investors are mostly financial investors, right?

Aditya Halwasiya: What investments are you pertaining to?

Onkar Ghugardare: I mean the FIIs to whom you are issuing warrants, they are mostly financial investors, right?

Aditya Halwasiya: Yes, they are investors in the equity market, yes.

Onkar Ghugardare: Correct, so there won't be any board position for them, right?

Aditya Halwasiya: The board position comes about if any one of the FIIs are holding 5% or more. None of them will be holding 5% or more.

Onkar Ghugardare: Okay, so you will be issuing around 22 lakh shares. So around how much equity dilution we can expect and like what is the percentage of this, like which fund is giving how much money to you? You haven't specified that.

Aditya Halwasiya: Yes, we have close to 22 lakhs split amongst six funds. We will be sharing the names in the coming disclosures and each fund will be having a dilution of 2% to 3%, like having an expendable share ownership of 2% to 3%. This is a share ownership post dilution.

Page 5 of 14 Onkar Ghugardare: So this is mostly equally distributed, 22 lakh shares among all six participants?

Aditya Halwasiya: No, it's not equally distributed. Like some are holding 4 lakhs, 3 lakhs, 2 lakhs something like that.

Onkar Ghugardare: So you will be making a disclosure about that, right?

Aditya Halwasiya: Yes, we have to.

Onkar Ghugardare: So we can expect that, okay fine. So I was asking about what kind of equity dilution it would take place because of this fund raise? So you are raising around Rs. 400 crores. So how much equity will be diluted?

Aditya Halwasiya: Like, you can do the math, like 22 lakhs shares will be added to our pool of Rs. 1.33 crores.

Onkar Ghugardare: Correct, so around 14%-15% of dilution.

Aditya Halwasiya: Yes, 15% of dilution.

Onkar Ghugardare: Okay, and in terms of acquiring of the land parcel, where are we? What's the progress on that front?

Aditya Halwasiya: We have acquired the land parcel.

Onkar Ghugardare: Yes, so I mean the timeline which you have given, say in around two years you would have already commenced the new lines, right? That stays, right?

Aditya Halwasiya: That stays, yes.

Onkar Ghugardare:

Any other initiatives which you have taken in the last 3 months after the last conference call?

Aditya Halwasiya: We have looked at expansion in other geographies via acquisitions. Simultaneous expansion, not limited to other geographies, also India.

Onkar Ghugardare: We were doing a study to get into the US markets, right, for female condoms, so where are we in terms of that study? At what level we have reached? When can we see the conclusion of that study, result of that study and going by that getting approval of female condom for US marketing?

Omprakash Garg: The study is going rather slowly in South Africa. And also our discussions with the USFDA are still going on. They have raised many new questions which we are in the process of replying.

So I would say we are about one to one-and-a-half years away from any positive results from USFDA.

Page 6 of 14 Onkar Ghugardare: So can we expect something in FY26 maybe?

Omprakash Garg: Yes, sometime in 26.

Onkar Ghugardare: How certain you are that you will be getting the approval for this after completing the study whenever that study completion takes place?

Omprakash Garg: No, we are going through a very detailed evaluation process with the USFDA, and they have raised many questions. One of the important questions is that part of that study we are doing in South Africa should be done in the US with US participants which of course will be very expensive. So we are still discussing this issue with them.

Onkar Ghugardare: Okay, thank you. Another question is on the sales front. So I mean, when can we like significantly see the sales going up? They're hovering around this 40-ish crore mark for last couple of quarters and years, I guess. Aditya, if you can answer this question.

Aditya Halwasiya: Yes, we will be increasing our capacities in a staggered manner post this 20:05 _____ acquisition. Also, we'll be able to do it more rapidly post our acquisition targets end up getting closed and the deals getting closed for them. We are hopeful for that. So one clarity I can give, in the coming two quarters you will be able to see at least by end of this year 2024, 3 to 4 dipping lines being introduced, and thereby giving us a further capacity of close to 300 million units of male condoms. That will help to augment our sales numbers also. Currently we have capacity of 480 million units of male condoms being manufactured.

Onkar Ghugardare: So you ended FY23 with around Rs. 160 crores of sales. This year also, I guess it would be around the same level give or take Rs. 5 crores – Rs. 10 crores here and there. So for FY25 like how significant jump we can see in the revenues, given all what you have mentioned?

Aditya Halwasiya: I can talk clearly about FY24 like as of today. Also Om sir will also throw some more light on it. We have a lot of female condom sales which have not commenced for this entire financial year. So those sales will be booked this quarter, January - April quarter. So you'll be able to see a very big push in sales from the female condom side and that will help us contribute to a much higher tax of close to Rs. 15 crores and a topline of Rs. 60 crores to Rs. 65 crores by this quarter end.

Onkar Ghugardare: Yes, but just now Mr. Garg said that you would be targeting around Rs. 50 crores to Rs. 55 crores.

Aditya Halwasiya: Yes, we do project conservatively 55 crores, but ICF or the pipeline of 23:03 _____ crores.

Moderator: Thank you. Our next question is from the line of Sharad Parke, an individual investor. Please go ahead.

Page 7 of 14 Sharad Parke: What is the current order book of the company and can you please split it out in terms of domestic and international market?

Aditya Halwasiya: So the current order book is Rs. 80 crores. And for the domestic and international split, it would be 88% international and 85% to 90% international, 10% to 15% domestic.

Sharad Parke: In terms of revenue, how much do the ot

her reproductive health care products of the company contribute?

Aditya Halwasiya: We just have one product in our segment that is pregnancy test kits which is known as Cupisure and other than that, we are in the contraceptives segment in male and female condoms.

Sharad Parke: What is your competitor profile for IVD?

Aditya Halwasiya: Well, we have several test kits. We have eight test kits at least, which we are currently going, tracing, like we are undergoing clinical trials for two of them. That's primarily the malaria test kit, as well as the pregnancy test kits and 4 tested trials for CE Mark. We'll be getting our certifications in two years to three years for CE Mark and WHO. After getting WHO certifications, we'll be able to participate in (Inaudible) 26:27 orders after 2 to 3 years. And when it comes to getting, participating in any domestic state level tender, we can participate by September of 2024 or between September of 2024 and May of 2025. And there are also lists of countries which will be participating in after three years of manufacturing experience by May of 2025 that will be pertaining to African countries and a few Latin American countries.

Moderator: Thank you. Our next question is from the line of Chandra Gupta, an individual investor. Please go ahead.

Chandra Gupta: I have two questions. First is on this retail distribution that we are planning in the Indian domestic market. So can you please elaborate on what all has been done in this area until now, and what are the plans so far? Can you give some details on how we are going about building the retail foray ?

Aditya Halwasiya: Regarding the retail foray, we have right now as a sales team in pan India from all the (Inaudible) 28:24 we have zonal managers, we have area sales managers, we have sales executives, and they end up selling our product to all the different geographies in India. We have representatives in the north geography populated over there because they are very well versed because of the education levels of the customers over there is very high. So they're able to sell more products. Simultaneously we have our zonal and area sales managers, in our east and west the product distribution is different. In north we primarily focus on selling male and female condoms. Simultaneously in the east we focus on selling male and female condoms whereas west and south focus on selling male condoms.

Page 8 of 14 Chandra Gupta: And have we lost any new products as well or the existing product and how many products we have and what under what branding are we doing this?

Aditya Halwasiya: So we are going to see bundling our products going forward, yes. We'll be looking at getting deodorant sprays bundled with our existing products. We have got formulations for the same. And as of today, we are selling our product under the name of Cupid only. We will be using product as Cupid strawberry, Cupid butterscotch, Cupid vanilla and our pregnancy test kits as Cupisure.

Chandra Gupta: Okay, so as of date, if I ask you know, asking how many retail outlets we would have reached by now, our products will be available and as of date?

Aditya Halwasiya: As of date, we've reached at least 1,000 retail outlets.

Chandra Gupta: So what is the plan going ahead? I mean, say, in the next couple of years, what kind of reach can we expect in this?

Aditya Halwasiya: Next couple of years, the more money you spend in distribution lines, the higher the reach and it is a very long process of trying to get big reach. We don't want to be unconvoluted and spend too much money on the retail segment and blow it up till we have, till we see good traction in these, from these housing stores we have in us.

Chandra Gupta: So this thousand are across the country or any particular geography that is being targeted like some kind of a test marketing?

Aditya Halwasiya: As of now, the best test market is Northern territory of India.
Chan

dra Gupta: And how much funds are you sort of earmarked, you would have earmarked for advertising and promotion or any plans to hire a brand ambassador or something like that?

Aditya Halwasiya: No plan was allowed to hire a grand ambassador and we are working on a day-to-day basis to get funds allocated to it. It's not a big portion of our overall expenditure which is less than 10% percent as of today.

Chandra Gupta: Now the second question is about this overseas acquisition that you have spoken about. So what kind of returns can we expect from this? Do you have any target sort of benchmark IRR or something that you have in mind?

Aditya Halwasiya: So, overseas acquisition, we'll be looking at first primarily increasing our product lines based on our condom segment, because in India, we see primarily flavored condoms being sold.

Flavored condoms and dotted condoms and textured condoms. So, trying to get condoms which are non-latex is a very big attribution to sales which we do foresee in the future.

Page 9 of 14 Chandra Gupta: Okay, and this acquisition will be in developed market or is it in Asia or someplace?

Aditya Halwasiya: As of today, when it comes to manufacturing setups, Asia is the best place to be for condoms.

And there are a lot of companies who operate in other geographies who have the manufacturing sector. We will be looking to buy a manufacturing setup rather than the brand.

Chandra Gupta: Okay, more of manufacturing setup rather than the brand, okay.

Moderator: Thank you. Our next question is from the line of Dikshant from BD Wells. Please go ahead.

Dikshant: Thank you so much for the great sort of guidance that you have been giving us for so long. I have two particular questions. One is on our operating margin. As you just mentioned that we would be increasing our sales rates now in the coming 2 to 3 quarters, what do you think our operating margins are going to be especially given that you would also have million capacity of your condoms?

Aditya Halwasiya: So our operating margins, as you can see, are in the low 20s if you see year-on-year. We will be working towards getting them to 25% yet as we scale.

Dikshant: So our current this quarter's margin were around 31.5% of which.....

Aditya Halwasiya: When you mean to say operating margins, you're mentioning EBITDA?

Dikshant: Correct.

Aditya Halwasiya: Yes, I'm sorry. I was talking about PAT margins. The EBITDA margin is 30.33% 35:56_____.

Looking to get our PAT margins up over and above 25%. And our EBITDA margins will be, it will be better if we keep it above 35%.

Dikshant: Well, my second question is on the cash conversion cycle. So I mean, in the last concall, we were discussing that this is a major focus for you. And I'm sure that one of our major requirements while you acquired this business was better cash conversion cycles because our ROCEs will improve there. So can you shed a bit of light on this, on how we have improved this so far and what kind of cash conversion cycle we can see by the end of this year?

Aditya Halwasiya: So we are improving this as of today by increasing our list of suppliers. So simultaneously improving our terms with the suppliers. So that takes care of the inwards part and when it comes to the outwards part, apart from a few key clients which we won't be distributed to, that UNFPA, we are not pushing on them to improve their payment terms. We are happy with the payment terms because they are very iron clad contracts which they end up signing with us. Apart from them, any other distributor which has a specific order value below a certain amount, we end up getting behind them to improve their payment terms.

Page 10 of 14 Dikshant: I mean, Aditya, in order to just quantify this a little bit, our inventory days have been north of 200 days for the last 3 years. And since the last quarter, the management has been focused on the conversion cycle. So are we making our invent

ory days better? Are we making our payable

days, I think the receivables from the clients better? Quantify it with a little bit of numbers that would help immensely.

Aditya Halwasiya: Yes, I can quantify with a bit of numbers by saying that we'll be improving it by 20%.

Dikshant: So from 230-ish days, we can see a reduction of, let's say, around like 25 to 50 days, 40 to 50 days, something like that?

Aditya Halwasiya: Yes, 40 to 45 days, yes. The inventory days have been hard, because a lot of inventory for our premium condoms were stuck up in those so that's a very big reason why.

Dikshant: Yes, you did mention this the last time and thank you so much for the guidance. Just a few follow ups quick ones. One is on the current sales operations for our retail business, glad to know that we have cross distribution. Could you sort of tell us that what are our repeat business right now? Or is it too early on that data?

Aditya Halwasiya: So all our repeat clients are like, all our big clients are still ordering with us?

Dikshant: on the retail side, you mentioned earlier during the call that we have around a thousand stores that we are catered. So could you just help us out with the repeat business there? Some data there on what kind of ticket price, is it per store? What is this thousand stores converting into as our revenue? How is it guiding our revenue forward and how is it driving our revenue till

now?

Aditya Halwasiya: It is not guiding our revenue in any way to highlight, in any good way as of now. It's a very small part of our revenue. We've just started selling and started selling to increasing our retail network from mid of December onwards.

Dikshant: Congratulations again on getting those thousand because I mean, you guys are doing great there. I saw a couple of products near my store. So happy to know that you guys are improving there. Thank you so much.

Moderator: Thank you. Our next question is from the line of Onkar Ghugardare from Shree Investment Investment. Please go ahead.

Onkar Ghugardare: You mentioned that current order book is around Rs. 80 crores. What's the split between female and male condom and till when you have to execute this Rs. 80 crores?

Omprakash Garg: Out of the Rs. 80 Cr order book, Rs. 30 Cr is for female condoms and Rs. 50 Cr for male condoms.

Page 11 of 14 Onkar Ghugardare: And by when we have to execute this order?

Omprakash Garg: We are expecting some new orders in February from South Africa, Brazil and Government of India.

Onkar Ghugardare: And this South Africa, Brazil and Indian government orders are for female condoms or male condoms or both?

Omprakash Garg: South Africa, we are expecting both female and male condoms. From government of Brazil, we are expecting female condom orders. And from government of India, we are expecting male condom orders. We have our regular customers from UNFPA and private sector as well. So we are expecting over the next two months, in February and March, a significant quantity of orders.

Onkar Ghugardare: So as far as the Brazilian order and South African order, I mean the tendering have already taken place or at what stage it is?

Omprakash Garg: The backlog was for female condoms, which I mentioned will be cleared in the 4th Quarter to the tune of about Rs. 21 Cr.

Onkar Ghugardare: That is the backlog you are talking about. But just now you mentioned that you will be receiving orders from Brazilian government for female and African government for both male and female. So I'm asking these are the new tenders and has the tendering already taken place by the government?

Omprakash Garg: We don't know the exact volume and the amounts of these pending orders.

Onkar Ghugardare: Whether the tendering has already taken place or not? Or as you are saying, you will be expecting orders in February and March, significant orders. So that means by now the tendering must have already taken place or wou

ld be taking place shortly, right, in order for you to receive the orders?

Omprakash Garg: No, for example, for South Africa, we are starting in the third year of the three-year long-term contract and we could be easily getting orders worth about 50 crores, including both male and female condoms. In Brazil, we are expecting a tender to be floated for female condoms in February and we are expecting an order of about Rs. 23 crores. And with the Government of India, we have already announced orders worth about Rs. 15 crores. However, we are expecting one more order in the next couple of weeks, which would be about 10 Cr. And in addition to all this, we are getting regular orders from UNFPA. And I would expect Rs. 30 Cr orders for the first quarter of FY25 from UNFPA, mostly for male condoms.

Onkar Ghugardare: So as far as the current quarter is concerned, the Jan to March quarter, you are expecting around Rs. 50 crores from Africa, Rs. 25 crores from Brazil and around Rs. 10 crores to Rs. 15

Page 12 of 14 crores from Indian government, right? So around Rs. 80 crores, Rs. 85 crores orders in the current quarter you are expecting?

Omprakash Garg: Yes, correctly, to be delivered over the next 12 months.

Onkar Ghugardare: Correct, but you would be receiving the orders in the current quarter, right?

Omprakash Garg: Yes.

Onkar Ghugardare: Okay, the next question is to Aditya. Last time you had mentioned that around Rs. 160 crores of the sales which you will be delivering at say end of FY24, you will be doubling it in the next three to four years, given the expansion plan which you have. When you projected this the acquisition was not planned, right? So now that you are planning to do the acquisition, I mean, what kind of sales you are looking at, given it's a big acquisition?

Aditya Halwasiya: See, when it comes to an acquisition, whether it's in India or whether it's out of India, it will impact us very differently. If it's an acquisition in India, nobody in India is making polyisoprene or polyurethane products. Outside India, they are. So the entire sales outlook will change. We have to start looking at private players who are already selling such condoms out of India to be contract manufacturers for if we make acquisitions out of India. Whereas within India we can look at government tenders in and out of India as well as private players in and out of India because there is a very big demand for latex condoms because of the constituents of latex as a polymer.

Onkar Ghugardare: So what you are saying is that nobody in India is selling neither manufacturing this type of condoms, right?

Aditya Halwasiya: Nobody in India is manufacturing such condoms, PI or PU condoms.

Onkar Ghugardare: Okay, but the selling is taking place?

Aditya Halwasiya: The selling is taking place via imports.

Onkar Ghugardare: And is it a big contribution to the overall selling of condoms or like how much is the percentage currently in India?

Aditya Halwasiya: It's very minuscule because of the price, the price barrier basically.

Onkar Ghugardare: What difference does it bring to the table from if you look at the other condoms as compared to these condoms as compared to normal condoms?

Page 13 of 14 Aditya Halwasiya: Well, just looking at how the market receives it out of India is an indication that India's consumption would tend towards in the next 10 years to 15 years honestly speaking towards such materials.

Onkar Ghugardare: So this is like a more premiumization of condoms? Is it like that?

Aditya Halwasiya: Yes.

Onkar Ghugardare: And if you can talk more about this, where in Asia this trend is currently playing out? If you can tell more about that?

Aditya Halwasiya: This trend is playing out in Malaysia, China, Thailand, Indonesia, all these countries.

Onkar Ghugardare: Okay, like if you can compare it with say like how it was say 10 years back and how it is currently, so if you can give a

comparison of that in this countries which you mentioned?

Aditya Halwasiya: Well, they've been selling all, and India is very price sensitive as a country for any form of consumer level. So nobody has introduced these condoms in India. I'm talking about there were certain barriers to entry when it comes to manufacturing such condoms in India. That is why nobody has also. Whereas out of India, the ballgame is quite different. People are ready to consume better, more premium prophylactic condoms in those other markets.

Onkar Ghugardare: Yes, but like if you can give an example, say for example, in China, let's say 10 years back, if one condom of that kind was sold, now how many condoms are being sold currently?

Aditya Halwasiya: I can't give any indication for China or any other.

Onkar Ghugardare: No, I'm not asking you for indication, whatever already trend is there and whatever the real facts are there, I'm asking just that. Because you must have studied the trend in those markets, right, before thinking about this acquisition?

Aditya Halwasiya: The only trend I've studied as of now is what are the sales of such companies who are doing job working for private clients in the EU and in the US? So those are numbers which have been shared with me in confidence that I cannot disclose because that's only business I'm certain about. I'm not looking at selling such condoms in India per se because as of now those condoms garner a very high price as imports.

Moderator: This will be the last question for the day. Our next question is from the line of Rakesh from White Pigeon Investment.

Rakesh: Quantified in revenue and profitability terms, what are we expecting from the capacity expansion announced by the company in December?

Page 14 of 14 Aditya Halwasiya: So in terms of the revenue expansion, we've already made a press release regarding it. We are

expecting a top line of not \$320 crores, but close to \$400 crores, post finishing up with our expansion plan. And simultaneously we're expecting an EBITDA of upwards of \$100 crores.

Moderator: Ladies and gentlemen, that was the last question for the day. I now hand the conference over to Mr. Aditya Halwasiya for closing comments.

Aditya Halwasiya: As we come to the end of this earnings call, I want to take a moment to extend my deepest gratitude to all our shareholders and employees. To our shareholders, thank you for your continued trust and investment in us. Your faith in our potential, use our drives to innovate, expand and excel. We are committed to delivering on our promises and maximizing the value of your investment. You are an incredible team of employees. Your hard work, creativity and perseverance are the reasons we are able to celebrate our achievements today. Each of us plays an integral role in building our future. And I'm profoundly thankful for the opportunity to work alongside everyone at Cupid. Looking ahead, we are excited about the opportunities and challenges that lie before us. Thank you once again everybody for joining our earnings call.

Moderator: Thank you. On behalf of Cupid Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.